ANT | INITIATING COVERAGE | OCTOBER 28, 2026

Anthropic

Frontier intelligence, paid workflows and the cost of scale

$1.99 trillion

Q4 2027 equity market-cap ceiling: $198.509 billion of recognized sales over Q4 2027-Q3 2028 x 10.0 times equity price to sales.

Model selection	Current coverage
Valuation unit	Whole-company equity market cap, USD billions / trillions
Active horizon	Q4 2027; forward sales window Q4 2027-Q3 2028
Analytical / initial Excel Base	43 / 60, rounded to 72 / 100
Stage	Pre-IPO; proposed Nasdaq ticker ANT
Research cutoff	October 28, 2026, America/Toronto
Latest formal accounts	Six months ended June 30, 2026; preliminary Q3 proxy separate

I model a large expansion of paid consumption and subscriptions. Cybersecurity and seven other opportunities add revenue after explicit probability and overlap adjustments. Existing products drive most of the valuation. The forecast is particularly sensitive to sustained paid-use growth, serving capacity, procurement floors and future capital needs.

The company announced a $965 billion post-money Series H valuation on May 28, 2026. This preferred-financing reference supplies the workbook comparison unit. IPO terms, a public trading price and a reliable post-IPO diluted denominator remain unavailable.

Sources: SEC S-1 filed October 26, 2026; Anthropic Series H announcement May 28, 2026. Full source register and derivations follow.

01 | BUSINESS AND COMPETITIVE POSITION

The commercial engine

A shared frontier-intelligence business

Anthropic builds frontier models, a developer platform and first-party applications. Claude Code, Cowork, professional tools and customer-built agents share model and platform capabilities. The commercial engine combines consumed intelligence, subscriptions and enterprise deployment. Progress in model capability can expand useful tasks across several surfaces within the same customer relationship.

Sources: S1-BIZ

The investment case depends on accepted work becoming durable paid consumption. Reliability, task completion, deployment friction and effective task prices shape that conversion. Applications create routes to customers and workflow context; the model and infrastructure layers carry the cost of improving and serving the intelligence.

Sources: S1-BIZ

Moat, competition and switching

Anthropic describes a closely integrated research, post-training, inference and product organization. Its multi-chip orchestration, reusable skills, connectors and workflow tooling aim to improve capability and price-performance together. Approximately5,300employees atSeptember30,2026 support a research-intensive business. The company's internal productivity measures provide evidence about its own development process; customer task success, paid retention and cash economics provide the commercial tests.

Sources: S1-BIZ

Competition spans OpenAI, Google, other well-funded laboratories, open-weight alternatives and first-party software providers. Existing workflows, customer retraining, governance and perceived deployment risk also influence adoption. Enterprise integrations and accumulated workflow context can raise switching costs. MCP's donation to the Linux Foundation ecosystem and model-agnostic hardware interfaces support portability and multivendor use. Customer leverage over model choice and pricing remains an important part of the outlook.

Sources: S1-BIZ

A shared model serves many applications. Each paid task carries inference, infrastructure and distribution costs; training and research require recurring investment.

Layer	Economic role	Principal constraint
Frontier models / research	Improve useful task range and price-performance	Training cost; competing models; release and safety gates
Platform / API	Usage-priced inference and enterprise deployment	Token prices; availability; cloud channel fees
First-party applications	Code, Cowork, professional and consumer workflow access	Subscription entitlements; task intensity; paid conversion
Vertical / partner services	Security, agents, regulated work and domain tools	Customer budgets; partner economics; core overlap

01 | CUSTOMER ROUTES

Applications and paid task economics

Revenue realization and unit economics

Consumption revenue follows token use under the filing's recognition policy. Subscription revenue is recognized over the service period. Credits, concessions, refunds and included entitlements affect realized revenue. Customer commitments, prepayments, run rates and remaining performance obligations describe different parts of the commercial pipeline and cash cycle.

Sources: S1-ACCOUNTING, S1-COHORTS

For specified cloud-distributed intelligence arrangements, Anthropic reports revenue gross because it controls the service and pricing and bears the principal obligations. Cloud distribution fees and infrastructure costs remain economically important. Partner products sold through Claude Marketplace require transaction-specific accounting and fee analysis. Customer spend may move among direct access, cloud distribution and partner applications.

Sources: S1-ACCOUNTING, S1-COHORTS

Revenue yield depends on model mix, input/output balance, caching, batching, discounts and task efficiency. The filing describes substantial differences among customer usage levels. Lower task prices can encourage adoption and task frequency while increasing the compute required to serve those workloads. The financial model therefore needs a joint view of paid volume, realized yield, training and serving costs, distribution, engineering and support.

Sources: S1-ACCOUNTING, S1-COHORTS

Coding and enterprise agents

Claude Code is available across developer environments and supports multistep production work and parallel sessions. Developers can adopt it directly, build applications on the platform and introduce Claude to other functions inside an organization. Cowork, collaboration and design surfaces extend that distribution into broader knowledge work.

Sources: S1-BIZ, S1-COHORTS

The addressable commercial flow is the amount organizations and individuals pay for useful software and intelligence. Developer wages, customer software revenue and productivity gains provide context for willingness to pay. Incremental capture requires identifiable paid users or workloads, adoption timing and realized fees after existing usage and included credits are allocated. Shared customers should remain in a single reconciled revenue base.

Sources: S1-BIZ, S1-COHORTS

Promotions and government pricing in the model

Q4 security-credit redemption is 500 eligible organizations x $50,000 two-month cap x 70% participation x 50% redemption = $0.008750 billion. Existing-government price concessions use 500 organizations x $500,000 annual list spend x 40% discount x 75% exposure = $0.075 billion annually. Quarterly loss is $0.018750 billion, with a two-thirds-quarter factor in Q4 2026 giving $0.012500 billion. Eligible-security counts, spending and participation / exposure are modeling assumptions. The credit cap and procurement discount come from the stated product terms. Both deductions appear separately in the quarterly ledger.

02 | HISTORICAL EVIDENCE

Customer evidence and recognized revenue

Customer cohorts and measurement

At September 30, 2026, the filing reports more than 11,900 organizations with at least $100,000 of trailing-twelve-month revenue, more than 1,900 with at least $1 million and approximately 250 with at least $10 million. The thresholds nest within one another. An operating model can form disjoint spending tiers and calibrate them to recognized revenue, while retaining the rounded and censored nature of the disclosed counts.

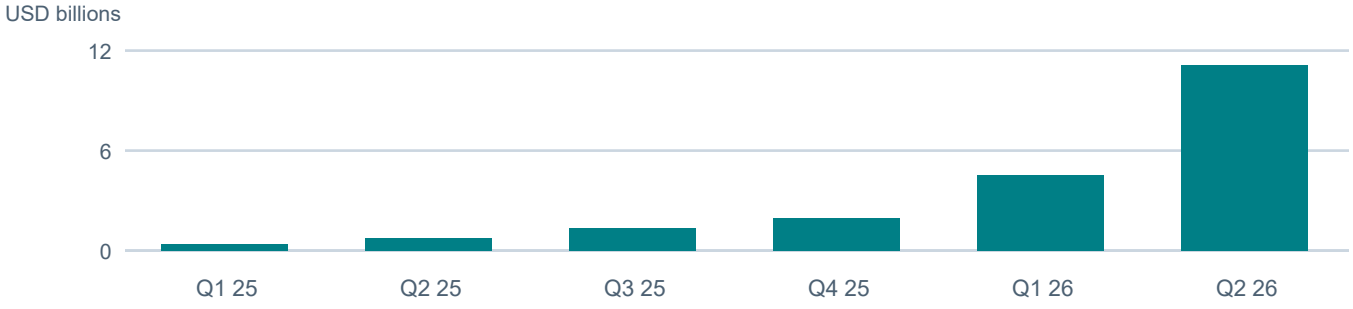
Sources: S1-COHORTS

The approximately 900% net revenue retention figure compares current-quarter revenue with the year-earlier quarter for the same qualified customer cohort. Customers qualify with at least $1 of revenue in the base quarter; Pro and Max subscribers are excluded. The reported ratio represents roughly ninefold same-cohort quarterly revenue. A forward model needs separate assumptions for future expansion, churn, new customers and fixed-price subscriptions.

Sources: S1-COHORTS

More than half of the organizations meeting the $100,000 TTM threshold used both Claude Platform and a first-party application in Q3 2026. That overlap makes customer-level reconciliation essential. Run-rate metrics annualize consumption over trailing 28 days by 13 and measurement-date monthly subscription fees by 12. Recognized-sales forecasts require their own quarterly billing and accounting bridge.

Sources: S1-COHORTS



Period	Revenue $B	Operating profit $B
Q1 25	0.376	-0.935
Q2 25	0.787	-1.200
Q3 25	1.382	-3.089
Q4 25	2.040	-2.836
Q1 26	4.731	-1.667
Q2 26	11.555	0.974

Q3 2026 recognized revenue is approximated at $16.942 billion from the disclosed Q4 2024 revenue of $0.197 billion and the displayed 86x growth multiple. Both figures are rounded. The S-1 leaves exact Q3 dollars blank. This current reconstruction remains separate from preserved historical Excel forecasts.

Sources: S-1 MD&A quarterly results, pages 157-158; risk-factor text (saved lines 5362-5363) and business text (15033-15037). A run rate annualizes a short measurement interval and requires a separate recognized-sales bridge.

03 | FINANCIAL SOURCE BRIDGE

Read the cost classification carefully

USD billions	FY 2024	FY 2025	H1 2026
Revenue	0.386	4.585	16.286
Compute and infrastructure	2.522	7.326	8.945
Personnel	0.454	1.839	3.152
Sales / marketing partnerships	0.043	0.568	3.168
Other operating / administrative	0.347	1.412	1.714
Bartz settlement	0.000	1.500	0.000
Operating profit / loss	-2.980	-8.060	-0.693
Net profit / loss	-8.309	-41.965	-80.748

The filing reports expenses by nature and supplements them by function. H1 2026 functional cost of revenue is $2.380 billion, producing derived gross profit of $13.906 billion and an 85.39% gross margin. Broader compute and infrastructure cost is $8.945 billion. Training and research compute sit in R&D; free access and partnership distribution also sit outside functional cost of revenue.

H1 2026 functional view	USD B
Revenue	16.286
Cost of revenue	2.380
Derived gross profit	13.906
R&D	9.741
Sales and marketing	3.808
General and administrative	1.050
Operating profit / loss	-0.693

H1 2026 net loss includes $72.388 billion of fair-value changes and $8.757 billion of other expense. Convertible-claim remeasurement, financing and operating economics require separate interpretation. June note face value is $6.203 billion; its $108.566 billion carrying value reflects fair-value accounting.

Sources: S-1 F-7, functional expense supplement, convertible instrument notes. The model includes cash, claim and noncash-cost ledgers separately.

Cybersecurity: a substantial paid-work opportunity

Agentic systems can accelerate vulnerability discovery, exploit development and defensive remediation. That raises demand for code analysis, verification, patching and incident-response capacity. Anthropic has a working product route into this demand and a large partner ecosystem. Paid usage after credits and overlap with existing API customers determine the incremental economics.

Current evidence	Commercial interpretation
Claude Security enterprise beta	Token billing; additional platform fee currently zero. Hosted scanning verifies findings and suggests patches with human approval.
Promotional credits	Up to $25,000 per month for two months, ending December 31, 2026; paid conversion remains undisclosed.
Critical Infrastructure Defense Program	Engineering and threat-research support with major security / industrial partners; announced October 8.
Glasswing	April program included up to $100 million of credits and $4 million of donations. Credit availability requires its own revenue conversion.
CrowdStrike Marketplace route	Purchases consume existing Anthropic commitments; partner software GMV requires a separate fee-ownership bridge.

Official incident evidence supports a meaningful cyber-risk and defensive-spending thesis. Voice cloning can weaken authentication practices; banks also describe supplementary verification controls. Source evidence for a universal banking bypass is unavailable. Canadian emergency-kit guidance has a longstanding all-hazard scope. The model assigns cyber paid-defense revenue through one bounded wallet and one overlap adjustment.

Threat assessments depend on test conditions, safeguards and observed incidents. The report avoids extrapolating a laboratory outcome to every system. Cyber capability can generate both customer demand and release restrictions, compliance costs and misuse-related loss of revenue.

Sources: Claude Security product / usage terms; Anthropic cyber mission, Glasswing and misuse reviews; official cyber advisories; Public Safety Canada emergency guidance. See source register.

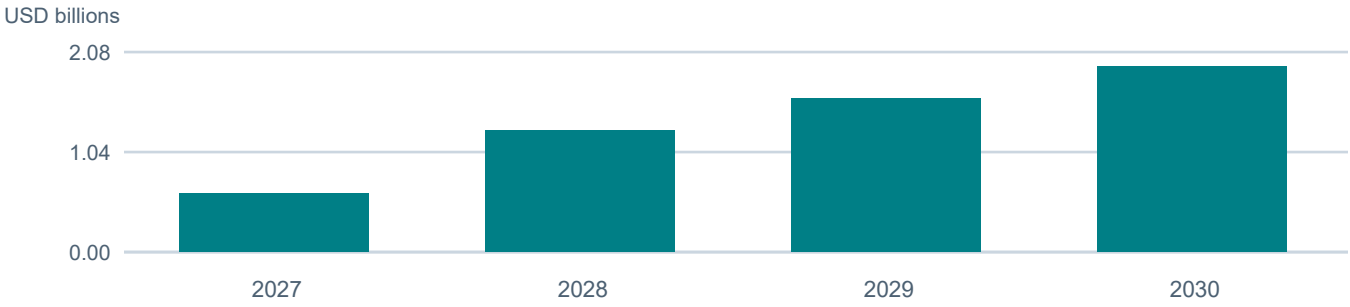
05 | INCREMENTAL OPPORTUNITY / CYBER

Defensive cybersecurity

Product beta and independent threat evidence support paid use; credits, approvals and undisclosed paid conversion constrain the incremental outcome.

2027 conditional fee-wallet factor	Selected value
AI cybersecurity vendor budget	85.997
model-service wallet fraction	0.20000
Anthropic conditional capture	0.35000
Conditional annual fee wallet, USD B	6.019790
Outcome probability	65.0%
External net-new fraction after core / cross-market overlap	25.0%

Quarterly incremental recognized revenue = conditional annual fee wallet / 4 x outcome probability x external net-new fraction x quarterly adoption x expected serving-capacity factor. The conditional annual wallet already incorporates each displayed budget, service-wallet and company-capture factor. The external net-new fraction removes overlapping core and cross-market revenue once.



Year	Conditional wallet $B	Net revenue $B	Incremental OP $B
2027	6.020	0.605	0.091
2028	7.840	1.264	0.377
2029	9.870	1.596	0.502
2030	11.900	1.924	0.619

Variable costs as a share of incremental revenue: serving 25.0%, R&D 10.0%, sales and marketing 12.0%, G&A 5.0%. Fixed R&D starts at $0.200 billion in 2027 and grows 15% annually. Fixed R&D continues when the commercial outcome fails. Incremental OP equals revenue less all four variable costs and fixed R&D.

The 2027 AI-cybersecurity budget is $85.997 billion. I select a 20% model-service wallet and a 35% conditional Anthropic share, producing a $6.020 billion conditional annual fee wallet. A 65% outcome probability, 25% external net-new fraction and adoption ramp reduce 2027 recognized incremental sales to $0.605271 billion. Product token billing anchors revenue; a separate platform fee remains zero.

The 2027 starting wallet uses the cited external forecast or a cohort-based proxy. Values for 2028-2030 are model extrapolations. Wallet shares, company capture, overlap, adoption, costs and probabilities are selected model assumptions.

Sources: SECURITY-TERMS; CYBER-MISSION; GARTNER-AI. Full clickable sources appear in Appendix E.

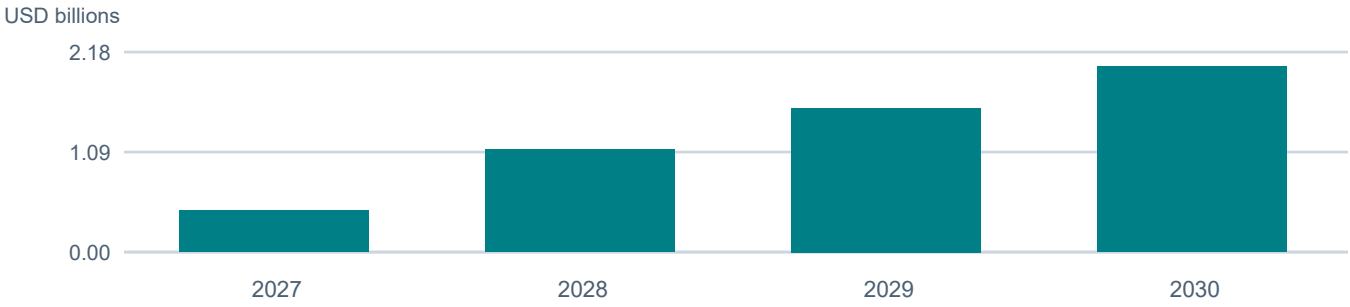
05 | INCREMENTAL OPPORTUNITY / AGENTS

Enterprise agent workflows

Current paid products support viability. Incremental workflow adoption and multi-provider competition set the weight.

2027 conditional fee-wallet factor	Selected value
agent/assistant vendor budget	65.472
model-service wallet fraction	0.25000
Anthropic conditional capture	0.30000
Conditional annual fee wallet, USD B	4.910400
Outcome probability	60.0%
External net-new fraction after core / cross-market overlap	25.0%

Quarterly incremental recognized revenue = conditional annual fee wallet / 4 x outcome probability x external net-new fraction x quarterly adoption x expected serving-capacity factor. The conditional annual wallet already incorporates each displayed budget, service-wallet and company-capture factor. The external net-new fraction removes overlapping core and cross-market revenue once.



Year	Conditional wallet $B	Net revenue $B	Incremental OP $B
2027	4.910	0.456	0.153
2028	7.500	1.117	0.532
2029	10.500	1.567	0.782
2030	13.500	2.015	1.026

Variable costs as a share of incremental revenue: serving 18.0%, R&D 8.0%, sales and marketing 10.0%, G&A 4.0%. Fixed R&D starts at $0.120 billion in 2027 and grows 15% annually. Fixed R&D continues when the commercial outcome fails. Incremental OP equals revenue less all four variable costs and fixed R&D.

The 2027 starting wallet uses the cited external forecast or a cohort-based proxy. Values for 2028-2030 are model extrapolations. Wallet shares, company capture, overlap, adoption, costs and probabilities are selected model assumptions.

Sources: S1-BIZ; GARTNER-AI. Full clickable sources appear in Appendix E.

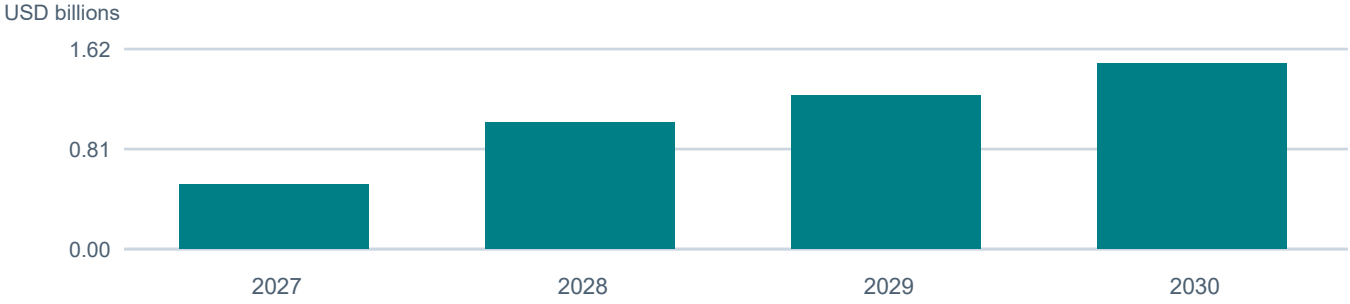
05 | INCREMENTAL OPPORTUNITY / PROFESSIONAL

Finance legal and professional workflows

Released domain tools and connectors support expansion. Regulated review and existing enterprise overlap reduce net paid capture.

2027 conditional fee-wallet factor	Selected value
AI software budget	656.353
eligible professional-workflow fraction	0.15000
model-service wallet fraction	0.25000
Anthropic conditional capture	0.25000
Conditional annual fee wallet, USD B	6.153309
Outcome probability	55.0%
External net-new fraction after core / cross-market overlap	25.0%

Quarterly incremental recognized revenue = conditional annual fee wallet / 4 x outcome probability x external net-new fraction x quarterly adoption x expected serving-capacity factor. The conditional annual wallet already incorporates each displayed budget, service-wallet and company-capture factor. The external net-new fraction removes overlapping core and cross-market revenue once.



Year	Conditional wallet $B	Net revenue $B	Incremental OP $B
2027	6.153	0.524	0.096
2028	7.500	1.024	0.309
2029	9.094	1.244	0.386
2030	10.969	1.501	0.477

Variable costs as a share of incremental revenue: serving 20.0%, R&D 12.0%, sales and marketing 15.0%, G&A 6.0%. Fixed R&D starts at $0.150 billion in 2027 and grows 15% annually. Fixed R&D continues when the commercial outcome fails. Incremental OP equals revenue less all four variable costs and fixed R&D.

The 2027 starting wallet uses the cited external forecast or a cohort-based proxy. Values for 2028-2030 are model extrapolations. Wallet shares, company capture, overlap, adoption, costs and probabilities are selected model assumptions.

Sources: S1-BIZ; GARTNER-AI. Full clickable sources appear in Appendix E.

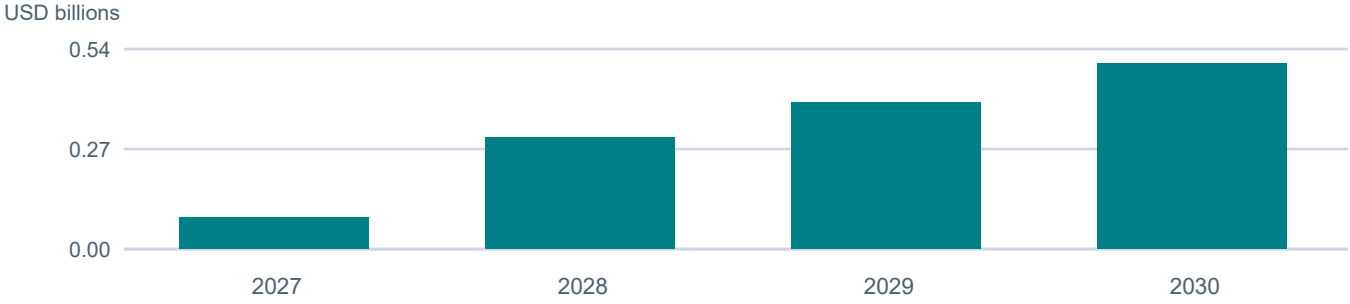
05 | INCREMENTAL OPPORTUNITY / LIFE_SCIENCE

Healthcare and life-science tools

New research partnerships and released tools support platform use. Commercial drug outcomes have long clinical lags.

2027 conditional fee-wallet factor	Selected value
global pharmaceutical spending context	2,100.000
eligible AI-tool budget fraction	0.00750
model-service wallet fraction	0.40000
Anthropic conditional capture	0.25000
Conditional annual fee wallet, USD B	1.575000
Outcome probability	55.0%
External net-new fraction after core / cross-market overlap	25.0%

Quarterly incremental recognized revenue = conditional annual fee wallet / 4 x outcome probability x external net-new fraction x quarterly adoption x expected serving-capacity factor. The conditional annual wallet already incorporates each displayed budget, service-wallet and company-capture factor. The external net-new fraction removes overlapping core and cross-market revenue once.



Year	Conditional wallet $B	Net revenue $B	Incremental OP $B
2027	1.575	0.086	-0.273
2028	2.205	0.301	-0.249
2029	2.894	0.396	-0.270
2030	3.647	0.499	-0.297

Variable costs as a share of incremental revenue: serving 25.0%, R&D 20.0%, sales and marketing 15.0%, G&A 8.0%. Fixed R&D starts at $0.300 billion in 2027 and grows 15% annually. Fixed R&D continues when the commercial outcome fails. Incremental OP equals revenue less all four variable costs and fixed R&D.

The $2.1 trillion spending context passes through 0.75% AI-tool eligibility, a 40% model-service wallet and 25% conditional capture. I model paid platform / research fees. Drug IP and royalty terms remain undisclosed; marketed-drug royalties contribute zero through 2030. A 20% success scenario begins in 2032.

The 2027 starting wallet uses the cited external forecast or a cohort-based proxy. Values for 2028-2030 are model extrapolations. Wallet shares, company capture, overlap, adoption, costs and probabilities are selected model assumptions.

Sources: S1-BIZ; DRUG-OCT27. Full clickable sources appear in Appendix E.

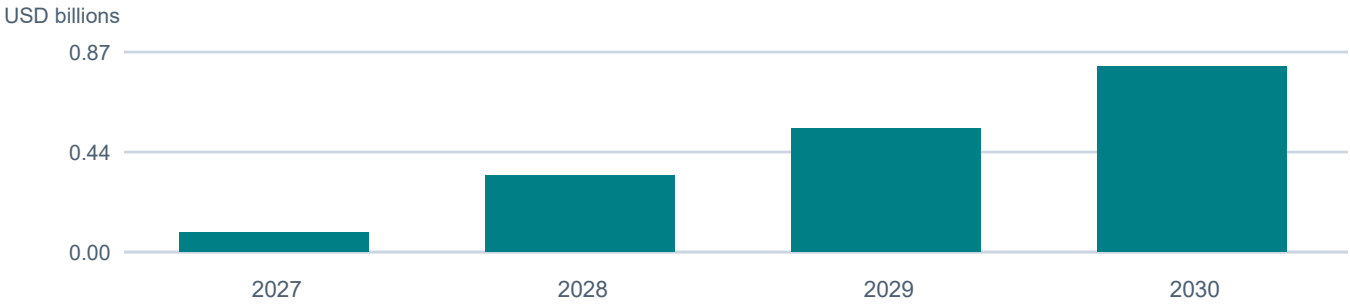
05 | INCREMENTAL OPPORTUNITY / GOVERNMENT

New government organizations

Expanded procurement access supports adoption. Legal access, no minimum spend and discounted prices limit certainty.

2027 conditional fee-wallet factor	Selected value
genuinely new paying organizations	2,000.000
annual list spend USD_B per organization	0.00050
after-discount price factor	0.60000
Conditional annual fee wallet, USD B	0.600000
Outcome probability	45.0%
External net-new fraction after core / cross-market overlap	50.0%

Quarterly incremental recognized revenue = conditional annual fee wallet / 4 x outcome probability x external net-new fraction x quarterly adoption x expected serving-capacity factor. The conditional annual wallet already incorporates each displayed budget, service-wallet and company-capture factor. The external net-new fraction removes overlapping core and cross-market revenue once.



Year	Conditional wallet $B	Net revenue $B	Incremental OP $B
2027	0.600	0.084	-0.073
2028	1.500	0.335	-0.008
2029	2.400	0.537	0.040
2030	3.600	0.806	0.106

Variable costs as a share of incremental revenue: serving 30.0%, R&D 10.0%, sales and marketing 20.0%, G&A 8.0%. Fixed R&D starts at $0.100 billion in 2027 and grows 15% annually. Fixed R&D continues when the commercial outcome fails. Incremental OP equals revenue less all four variable costs and fixed R&D.

The model uses genuinely new organizations. The 40% procurement discount leaves a 60% price factor. Existing organizations carry a separate price-concession loss in the core model. Agency authorizations, litigation, cloud availability and actual minimum spending remain relevant conversion hurdles.

The 2027 starting wallet uses the cited external forecast or a cohort-based proxy. Values for 2028-2030 are model extrapolations. Wallet shares, company capture, overlap, adoption, costs and probabilities are selected model assumptions.

Sources: GSA-OCT27; S1-BIZ. Full clickable sources appear in Appendix E.

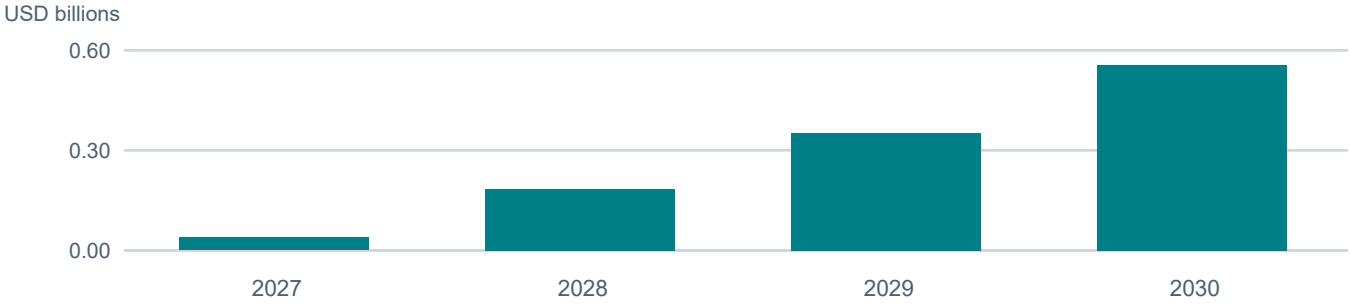
05 | INCREMENTAL OPPORTUNITY / EDUCATION

New paid education seats

Institutional products exist; paid rollout and student/prosumer overlap remain substantial.

2027 conditional fee-wallet factor	Selected value
new conditional paid seats millions	5.000
annual realized fee USD_thousand	0.10000
Conditional annual fee wallet, USD B	0.500000
Outcome probability	50.0%
External net-new fraction after core / cross-market overlap	25.0%

Quarterly incremental recognized revenue = conditional annual fee wallet / 4 x outcome probability x external net-new fraction x quarterly adoption x expected serving-capacity factor. The conditional annual wallet already incorporates each displayed budget, service-wallet and company-capture factor. The external net-new fraction removes overlapping core and cross-market revenue once.



Year	Conditional wallet $B	Net revenue $B	Incremental OP $B
2027	0.500	0.039	-0.029
2028	1.500	0.186	0.043
2029	2.850	0.354	0.125
2030	4.500	0.560	0.226

Variable costs as a share of incremental revenue: serving 23.0%, R&D 8.0%, sales and marketing 10.0%, G&A 5.0%. Fixed R&D starts at $0.050 billion in 2027 and grows 15% annually. Fixed R&D continues when the commercial outcome fails. Incremental OP equals revenue less all four variable costs and fixed R&D.

Population uses millions of newly paying seats and annual fees in USD thousands. Five million seats x $100 per year equals a $0.5 billion conditional wallet. Free accounts, existing prosumers and institutional overlap pass through the paid-conversion and net-new assumptions.

The 2027 starting wallet uses the cited external forecast or a cohort-based proxy. Values for 2028-2030 are model extrapolations. Wallet shares, company capture, overlap, adoption, costs and probabilities are selected model assumptions.

Sources: S1-BIZ. Full clickable sources appear in Appendix E.

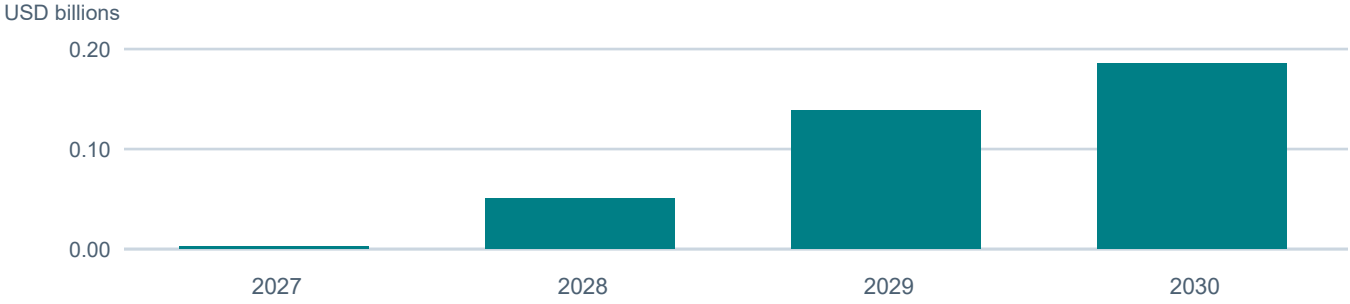
05 | INCREMENTAL OPPORTUNITY / INDUSTRIAL

Industrial and physical-agent workflows

Research interfaces and previews establish a technical path. Qualification and commercial deployment are early.

2027 conditional fee-wallet factor	Selected value
AI software budget	656.353
eligible industrial-workflow fraction	0.03000
model-service wallet fraction	0.20000
Anthropic conditional capture	0.20000
Conditional annual fee wallet, USD B	0.787624
Outcome probability	25.0%
External net-new fraction after core / cross-market overlap	25.0%

Quarterly incremental recognized revenue = conditional annual fee wallet / 4 x outcome probability x external net-new fraction x quarterly adoption x expected serving-capacity factor. The conditional annual wallet already incorporates each displayed budget, service-wallet and company-capture factor. The external net-new fraction removes overlapping core and cross-market revenue once.



Year	Conditional wallet $B	Net revenue $B	Incremental OP $B
2027	0.788	0.000	-0.120
2028	1.280	0.050	-0.125
2029	2.183	0.136	-0.123
2030	2.925	0.182	-0.135

Variable costs as a share of incremental revenue: serving 28.0%, R&D 20.0%, sales and marketing 18.0%, G&A 8.0%. Fixed R&D starts at $0.120 billion in 2027 and grows 15% annually. Fixed R&D continues when the commercial outcome fails. Incremental OP equals revenue less all four variable costs and fixed R&D.

The forecast carries research spending in 2027, with recognized incremental revenue beginning in 2028. The wallet excludes hardware and robot sales. Qualification, field reliability and partner distribution require separate paid deployment evidence.

The 2027 starting wallet uses the cited external forecast or a cohort-based proxy. Values for 2028-2030 are model extrapolations. Wallet shares, company capture, overlap, adoption, costs and probabilities are selected model assumptions.

Sources: S1-BIZ; GARTNER-AI. Full clickable sources appear in Appendix E.

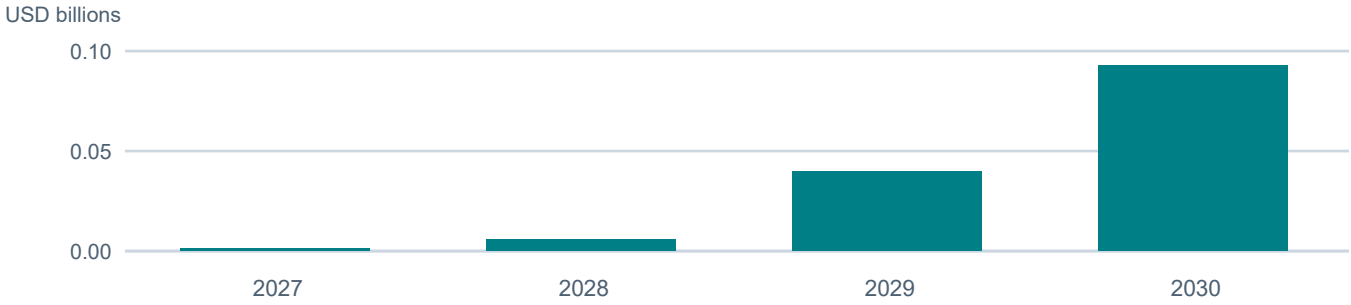
05 | INCREMENTAL OPPORTUNITY / MARKETPLACE

Future net marketplace service fees

Current partner distribution creates a possible owned fee wallet. Future fee terms and paid volumes remain undisclosed.

2027 conditional fee-wallet factor	Selected value
third-party GMV USD_B	1.500
hypothetical net owned fee rate	0.00000
Conditional annual fee wallet, USD B	0.000000
Outcome probability	25.0%
External net-new fraction after core / cross-market overlap	50.0%

Quarterly incremental recognized revenue = conditional annual fee wallet / 4 x outcome probability x external net-new fraction x quarterly adoption x expected serving-capacity factor. The conditional annual wallet already incorporates each displayed budget, service-wallet and company-capture factor. The external net-new fraction removes overlapping core and cross-market revenue once.



Year	Conditional wallet $B	Net revenue $B	Incremental OP $B
2027	0.000	0.000	-0.040
2028	0.120	0.006	-0.042
2029	0.320	0.040	-0.027
2030	0.750	0.093	-0.000

Variable costs as a share of incremental revenue: serving 5.0%, R&D 10.0%, sales and marketing 15.0%, G&A 5.0%. Fixed R&D starts at $0.040 billion in 2027 and grows 15% annually. Fixed R&D continues when the commercial outcome fails. Incremental OP equals revenue less all four variable costs and fixed R&D.

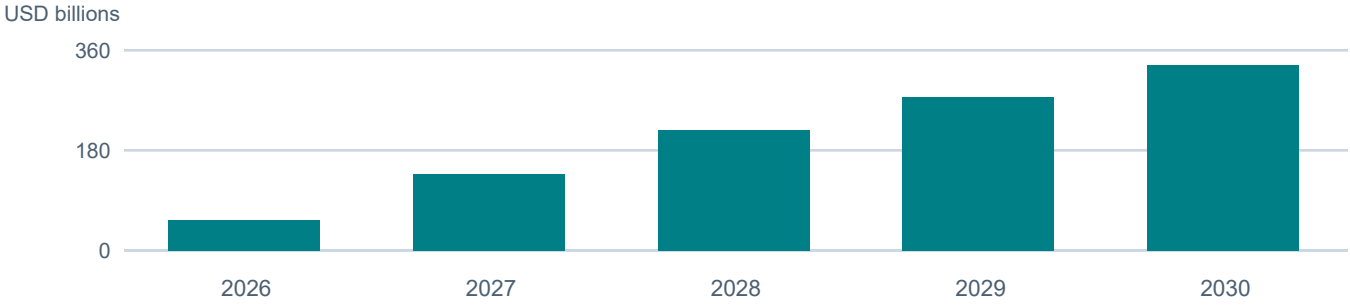
The owned take rate is zero in 2027. A hypothetical 3% service fee begins on a partial-year 2028 ramp, then 4% / 5% in 2029 / 2030. Third-party GMV supplies the fee base. Contractual fee entitlement and transaction volumes remain open source gaps.

The 2027 starting wallet uses the cited external forecast or a cohort-based proxy. Values for 2028-2030 are model extrapolations. Wallet shares, company capture, overlap, adoption, costs and probabilities are selected model assumptions.

Sources: S1-BIZ. Full clickable sources appear in Appendix E.

06 | GROWTH, TAXONOMY AND CAPTURE

The central forecast hurdle



Year	Recognized sales $B	New-market additions $B	Operating margin
2026	54.526	0.000	-31.0%
2027	137.053	1.793	-15.5%
2028	216.598	4.282	7.2%
2029	276.246	5.870	20.2%
2030	333.441	7.579	25.9%

The 2027 forecast of $137.053 billion is approximately 20.9% of Gartner's $656.353 billion AI-software category and 2.66 times its $51.620 billion generative-model category. Vendor taxonomies, forecast vintages, application bundles and gross revenue recognition differ. These comparisons set a demanding commercial hurdle. They also show why continued usage, paid conversion, pricing and category expansion need explicit monitoring.

The source $40 trillion knowledge-work economic context describes possible value created across an economy. Anthropic can collect a portion through model services, applications and contractual fees. Replacing a portion of customer labor cost requires a separate recognized-revenue bridge. Gartner software, model, agent and security categories have overlapping boundaries.

2027 external context	USD B	Use in this report
Total software spending, Oct 21 forecast	1,679	Broad market context
AI software, Sep 16 forecast	656.353	Professional / industrial fee-wallet context
AI agents / assistants, Sep 16	65.472	Agent wallet context
Generative AI models, Sep 16	51.620	Capture-hurdle comparison
AI cybersecurity, Sep 16	85.997	Cyber service-wallet context
Total security, IDC 2026	308	Broader sector context including hardware / services

New markets contribute $1.793 billion in 2027 and $7.579 billion in 2030 after probability, overlap, timing and capacity adjustments. The main valuation dependency is the core paid-use trajectory. A slower core compounds through every later sales quarter.

Sources: Gartner October 21 and September 16, 2026 press releases; IDC March 3, 2026. Future wallet values in this model are model extrapolations.

07 | OWNING OPERATING MODEL

From paid-use indices to sales

The Q3 anchor is $16.942 billion. Consumption receives 80.2161% and subscriptions 19.7839%, matching H1 recognized-revenue mix. This mix is a calibration proxy because quarterly product revenue and paid unit counts are undisclosed. All six indices begin at 100 in the Q3 reconstruction.

Bridge	Formula / assumption
Consumption reference	Q3 anchor x H1 consumption mix x paid-usage index / 100 x consumption-price index / 100
Subscription reference	Q3 anchor x H1 subscription mix x paid-seat index / 100 x subscription-ARPU index / 100
Each index roll-forward	Prior index x (1 + selected quarterly change)
Paid recognition factor	1 - expected policy loss - capacity miss - legitimate release restriction
Core recognized revenue	Consumption and subscription reference x recognition factor, less credits and existing-government concessions
Total recognized revenue	Core recognized revenue + sum of eight non-overlapping opportunity increments

Core paid consumption grows 35% in Q4 2026 and 30% / 25% / 20% / 15% through 2027. Consumption prices decline 4% in Q4 2026 and 4% / 4% / 3% / 3% in 2027. Paid subscription seats grow 30% in Q4 2026 and 30% / 25% / 20% / 15% in 2027; ARPU declines 2% each quarter. These are model assumptions. The subsequent forecast decelerates and remains sensitive to renewal economics and competitive prices.

Core risk	Probability	Conditional economic consequence
Policy cleanup	70%	6% disclosed exposure x 50% remaining implementation x 75% unreplaced revenue; expected loss 1.575% through 2027, then tapers.
Paid-serving capacity delay	20%	10% conditional sales miss x quarter exposure; serving premium and fixed commitments remain.
Legitimate-core release restriction	25%	10% sales miss in Q2 2027-Q1 2028; $0.3B quarterly response cost in the event.

The three events use disjoint lost-workload scopes. Residual joint independence is a modeling assumption. Eight core states are evaluated before taking the maximum of required compute and contracted floors. Tax uses coherent positive-profit outcomes across core states, IPO timing, credit financing and 256 incremental-market states. The workbook uses the same state definitions.

08 | COMPANY-SPECIFIC ECONOMICS

Serving, research and the expense bridge

H1 functional cost of revenue calibrates serving cost. I allocate 90% to compute, including allocated depreciation, and remove the source-calibrated inference depreciation to derive cash serving cost. The remaining functional cost supports the noncompute allocation. Subscription serving intensity is 1.3 times the consumption rate. Calibration produces initial serving-cash rates of 12.2809% for consumption and 15.9652% for subscriptions. Quarterly usage, computation efficiency, consumption prices and per-seat intensity then evolve separately.

Cost / cash driver	Owning calculation
Required core compute	Paid serving + free access + reserved training; each state takes MAX(required cost, selected provider cash floor).
Free compute	2% of provider service floor, plus selected cost of promotional redemption.
Reserved training	65% of service floor in 2026; 60% / 58% / 55% / 52% in 2027-2030.
Depreciation	New leased assets / 20 quarters; owned capex / 20 quarters after one-quarter lag; legacy D&A $0.05B per quarter.
Support / nonchannel personnel	Source-calibrated functional allocation, including cash personnel, SBC and other expense.
Distribution / marketing	CSP revenue fraction x 30% fee proxy + other-marketing rate, applied to core sales.
Opportunity costs	Explicit serving, R&D, sales / marketing, G&A and persistent fixed research for each market.

Source-calibrated nonchannel functional weights are COR 4.8911%, R&D 64.0547%, S&M 9.4760% and G&A 21.5783%. They allocate personnel and other operating expense. All allocations reconcile to total nature-based operating costs. Reported company product gross margins and exact cloud fee schedules remain undisclosed.

Q4 2027 reconciliation	USD B
Revenue	41.8184
Cost of revenue	8.7192
Gross profit	33.0992
R&D	25.1712
Sales and marketing	9.3114
G&A	2.0253
Operating profit	-3.4087
Cash compute, core	20.0340
Depreciation / amortization	8.0310
SBC	4.2876

Sources: S-1 functional / nature expenses and source calibration. Future workload mix, unit costs, fee schedules and allocations are model proxies.

09 | CAPACITY AND COMMITMENTS

Compute contracts and manufacturing exposure

June purchase obligations of $265.6 billion, uncommenced lease disclosures of $321.4 billion, subsequent commitments and named arrangements have different dates and scopes. A single pooled sum would double count overlapping obligations. The model uses explicit service-cash allocations plus a separate leased-asset / principal ledger.

Contract / source description	Amount / timing	Model treatment
Microsoft	44.9B, Nov 2026-May 2033	Selected annual service floors
Google	114.5B, Apr 2026-Jul 2033	Selected annual service floors
Additional Google / TPU	125-150B estimate; 2028-2031 deliveries	Separate bounded service-floor proxy
Amazon	110B, May 2026-Apr 2036	Selected annual service floors
SpaceX AI	Up to 120.5B through 2029; Dec 2026 full fees 3.1B / month	Cancellation / utilization-sensitive proxy
AMD	Initial full-capacity cost above 20B in 2027	Ramp / utilization-sensitive proxy
Nscale / Lambda	44.6B to 2033 / 41.3B to 2034	Selected annual service floors
Broadcom arrangements	161.2B lifetime basic rent, excluding interest	Separate leased-asset proxy and cash / note ledger

Four accelerator families support hardware optionality. Advanced manufacturing, HBM, networking, power and data-center readiness constrain actual delivery. Source contract amounts supply timing and capacity context; supplier revenue and profits require their own order and shipment evidence.

Selected service cash floor $B	2027	2028	2029	2030
Microsoft	4.80	7.00	7.00	7.00
Google	15.00	18.00	19.00	19.00
Amazon	8.00	10.00	11.00	11.00
SpaceX AI	23.25	9.30	0.00	0.00
Nscale	1.50	4.00	6.00	6.50
Lambda	3.00	5.00	5.50	5.50
AMD	4.00	10.00	14.00	16.00
Google other TPU	0.00	4.00	12.00	20.00
Other service and site operations	12.00	20.00	22.00	24.00
Total	71.55	87.30	96.50	109.00

Sources: S-1 compute commitments and subsequent-events notes; Broadcom arrangements and financing exhibits. Allocations are LOW-confidence model schedules because delivery and utilization detail is incomplete.

Leased capacity and cashless financing

I use $160.757 billion as the incremental leased-capacity proxy: $161.2 billion lifetime basic rent less $0.443 billion opening finance-lease liability. Basic rent and discounted opening liability use different measurement bases. The subtraction approximates overlapping perimeter. A zero-offset sensitivity accompanies it. New assets begin from Q3 2026 through Q1 2028, consistent with source commencement windows.

Asset start	Fraction	New asset proxy $B	NPA eligible fraction
2026Q3	20.0%	32.1514	0.0%
2026Q4	20.0%	32.1514	0.0%
2027Q1	10.0%	16.0757	50.0%
2027Q2	15.0%	24.1135	50.0%
2027Q3	15.0%	24.1135	50.0%
2027Q4	15.0%	24.1135	50.0%
2028Q1	5.0%	8.0378	50.0%

Each cohort depreciates and pays equal basic-rent principal over 20 quarters. I model cash interest at 8% annually on opening liability plus half-quarter additions; the redacted pricing letter creates a 6%-12% sensitivity range. The source timing and capitalized-cost mapping remain LOW-confidence approximations.

The $42 billion note facility can set off eligible rent without moving cash into Anthropic's bank account. First payments, pre-ready-for-service fees, earlier arrangements and redacted per-pod conditions constrain eligibility. The model assigns 2026 cohorts zero eligibility and 2027-and-later cohorts 50%; each cohort's first payment remains excluded. Q1 2027 is the selected facility reference date; the source draw period had yet to begin at filing.

Financing calculation	Selected rule
Conditional draw	MIN((eligible principal + eligible interest) x 50% conditional utilization, remaining original-principal cap)
Financing use probability	60%; weighted active setoff reduces cash rent paid
Normal / breach state	85% at 9% PIK and 15% at 13% PIK, within the use branch
Claim accumulation	Prior conditional claim + day/365 PIK + conditional new draw; original draws capped at 42B
Source maturity	Common reference date: first 24B at 60 months; next 8B at 63 months; above 32B at 57 months
Conversion / maturity exposure	Post-IPO discount 90% VWAP / 85% breach; source conditions, default and acceleration apply

Cashless setoff postpones cash payments and creates a claim. The facility adds no sales. Total equity P/S already values the whole equity interest; claims remain visible in feasibility and ownership analysis. Future claim conversion and final IPO share counts require updated terms.

11 | SBC AND OWNERSHIP COST

Compensation, IPO timing and cash settlement

Source balance / event	Forecast handling
June options: unrecognized 2.8B	Recognize over 4.8 quarters
June restricted stock: 0.325B	Recognize over 10.8 quarters
June RSUs: 2.9B catch-up + 23.7B remaining	IPO-condition branches; service cost over 8.4 quarters
Later grants: 91M RSUs / 5.8B grant fair value	Separate 16-quarter service proxy
New retention awards after Oct 26	2% of core sales in prorated Q4 2026; 3% in 2027; 4% thereafter
Q3 donation matching: 2B	Noncash reconstruction; 28M Class N shares settled in October; Q4 remeasurement base zero
Future matching	5.7666% of new retention expense; 20% cash / 80% share-settled budget proxy

IPO branches are 80% in Q4 2026, 15% in Q2 2027 and 5% beyond 2030. Each branch books accumulated service cost only when the IPO condition is met, then the remaining service expense. The expected expense is calculated across those full branches. Executive modification remeasurement remains an open gap.

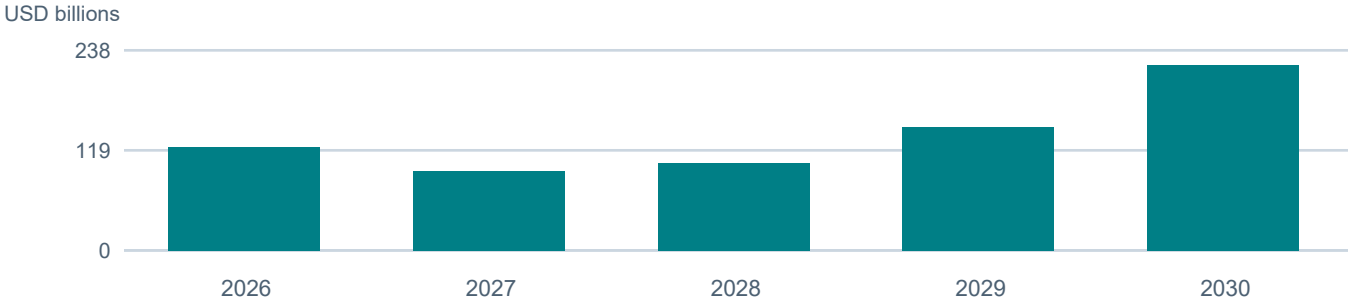
Cash tax withholding uses source RSU liquidity expense x 2.0 settlement-value / grant-cost proxy x 50% cash-net-settlement probability x 30% withholding. This equals 30% of expected source RSU expense in the central model. The settlement-value factor is tested from 0.5x to 4x. The calculation estimates a cash requirement without inventing a post-IPO share price or share count.

June economic common classes A and N total approximately 2.188 billion shares; outstanding preferred shares and convertible instruments can change the eventual denominator. Preferred conversion ratios vary. Source historical loss-per-share denominators exclude antidilutive claims. This report values total equity market cap.

Sources: S-1 share-based compensation, equity, benefit-fund, subsequent-event and note disclosures.

12 | LIQUIDITY

Cash feasibility and downside funding



Year-end	Liquid funds $B	Operating profit $B	NPA claim $B
2026	123.232	-16.898	0.000
2027	94.406	-21.295	1.257
2028	103.985	15.505	5.277
2029	146.919	55.714	9.544
2030	220.498	86.428	13.998

Opening June unrestricted liquid funds are $131.651 billion: cash $112.389 billion plus short-term investments $19.262 billion. Restricted cash of $2.529 billion is separate. Current cash is reconstructed from June through the Q3 proxy and the future model. No new IPO cash, equity cash or revolver proceeds enter the central cash diagnostic.

Future investment income is set to zero in this cash diagnostic. The historical source investment-income amounts remain in the actual statements. A funded investment-income forecast would require portfolio balances, yields and timing assumptions.

Cash tax uses a 20% planning rate: 20% x MAX(0, state operating profit - cash lease interest - conditional PIK expense), evaluated in every coherent outcome before probability weighting. The diagnostic assumes zero tax-loss carryforward benefit; actual tax payments depend on jurisdictions, loss usage and financing tax treatment.

Normalized CFO = operating profit + SBC + noncash donation / matching + depreciation - coherent cash tax - cash lease interest - increase in working capital - selected accrued-legal payments. Closing liquidity = opening liquidity + CFO - owned capex - lease principal + cashless note setoff - RSU withholding - restricted-cash transfer + explicit new cash financing. Interest is counted once.

AR and compute payables use 45-day proxies; prepayments equal 5% of next-quarter provider floor; deferred revenue tracks subscription sales using the June calibration. June accrued legal cash of $1.309 billion includes $1.2 billion remaining Bartz liability and $0.109 billion of other legal accrual. Payment dates are selected planning proxies. A 30% chance of a $10 billion restricted-cash transfer gives a $3 billion expected transfer in Q1 2027.

The central expected path reaches minimum liquidity of $92.256 billion and zero funding need to the selected $5 billion cash floor. The slower-growth and combined stresses in Appendix D require substantial outside funding. Conditional financing depends on terms and execution. Funding stress can affect ownership, feasible growth and the equity multiple.

13 | GOVERNANCE

Control, benefit commitments and regulation

Governance and investor claims

Anthropic is a public-benefit corporation. Its board balances financial stockholder interests with affected stakeholders and its public purpose. Model releases, safety commitments and resource allocations can therefore carry commercial trade-offs. The filing also anticipates substantial spending on independent review capacity, with some terms still being finalized.

Sources: S1-GOVERNANCE, S1-REGULATION

The Long-Term Benefit Trust holds non-economic Class T rights and generally elects or removes a board majority. A non-economic Class F share held by Founder LLC carries 50.1% of general voting power. Class E provides employees limited rights on specified trust matters. Board-election rights, general voting power and economic ownership follow different mechanisms.

Sources: S1-GOVERNANCE, S1-REGULATION

The initial Public Benefit Fund share contribution and future discretionary milestone contributions require explicit capitalization treatment. Founder personal philanthropic pledges have their own scope. Public investors also face charter indemnification, liability provisions, competition, IP claims, export and data rules, and customer-access restrictions. Capitalization, dilution and cash commitments should remain visible even when the headline output is aggregate equity market value.

Sources: S1-GOVERNANCE, S1-REGULATION

Founder Class F voting rights carry 50.1% of general voting power. The Long-Term Benefit Trust can elect a board majority under the disclosed structure. Special F / T / E classes have governance roles without ordinary economic participation. Investors must evaluate mission, release and control decisions alongside earnings and liquidity.

The initial Public Benefit Fund allocation is 846.841 million Class N shares, calibrated to 5% of a June fully diluted construct that assumes specified conversion. Future board-discretionary transfers can add up to 2% per 50% share-price milestone, subject to the detailed time and trading tests. I assign a 50% chance to an illustrative first 2% milestone; this implies roughly 0.98% expected existing-owner percentage loss from that single event. It creates zero additional whole-company market cap in the equity P/S calculation.

Sources: S-1 governance, benefit-fund, capital-stock and risk-factor disclosures. Final IPO terms and future board choices remain outstanding.

14 | EQUITY VALUATION

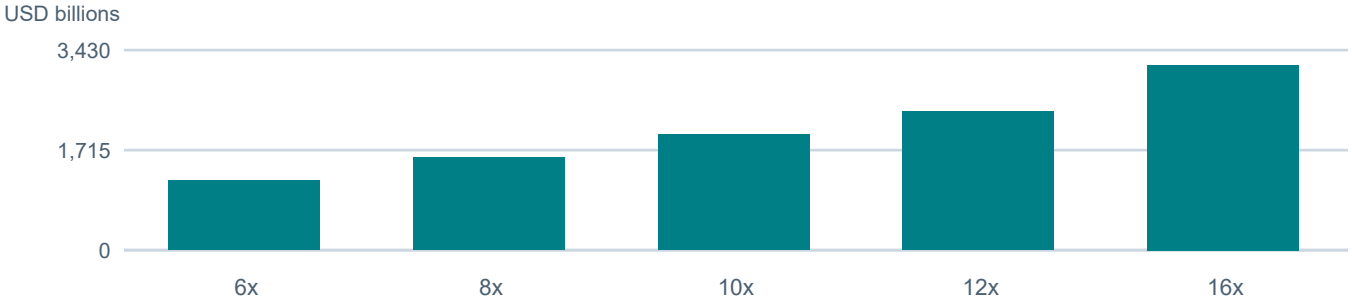
Why ten times forward sales

I select 10x forward-four-quarter recognized sales through 2028, 8x for 2029 and 6x for 2030. High growth, broad enterprise adoption and expansion into paid workflows support a substantial sales multiple. Large training costs, minimum compute commitments, cloud distribution fees, financing claims, dilution, control rights and safety / regulatory uncertainty constrain the selection.

Cross-check	Interpretation
Prospective cash margin: 10%	10x sales implies 100x cash earnings
Prospective cash margin: 20%	10x sales implies 50x cash earnings
Prospective cash margin: 30%	10x sales implies about 33x cash earnings
Public software context	PLTR CY2026 total-revenue guide 8.150-8.158B; SNOW FY2027 product-revenue guide 6.070B. Different revenue categories / year ends limit direct comparability.
Dated preferred financing	May 28 Series H: 965B post-money. IPO issue price, terms and tradable common reference remain open.

The current public-context basic-cap / respective-guidance ratios were about 58.6x for PLTR and 19.6x for SNOW on October 27. Exact same-period total-recognized-sales NTM ratios remain unverified. These observations provide broad valuation context. Growth, margins, compute accounting, dilution and revenue gross/net presentation drive the selected discount.

Anthropic recognizes certain cloud-channel revenue gross as principal while partnership costs sit in sales / marketing. A gross sales multiple therefore requires a cash-margin cross-check. Whole-company equity market cap equals F4 recognized sales x equity P/S. No additional net-cash term enters this selected equity multiple.



Equity P/S	Q4 2027 equity MC $B	USD T
6x	1,191.053	1.191
8x	1,588.071	1.588
10x	1,985.088	1.985
12x	2,382.106	2.382
16x	3,176.141	3.176

Sources: Selected multiples; official issuer guidance and Series H announcement. Counterparty context dates and accounting categories are retained explicitly.

15 | VALUATION DERIVATION

Every complete forward-sales window

Each ceiling uses the named quarter plus its next three calendar quarters. The active Q4 2027 window contains Q4 2027, Q1 2028, Q2 2028 and Q3 2028. All values below are USD billions. Later quarters with an incomplete four-quarter window retain unavailable ceilings.

Ceiling quarter	Sales q0	q+1	q+2	q+3	F4 sales	P/S	Equity MC
2026Q4	21.30	26.60	31.53	37.10	116.53	10	1,165.32
2027Q1	26.60	31.53	37.10	41.82	137.05	10	1,370.53
2027Q2	31.53	37.10	41.82	47.07	157.52	10	1,575.21
2027Q3	37.10	41.82	47.07	52.76	178.75	10	1,787.48
2027Q4	41.82	47.07	52.76	56.87	198.51	10	1,985.09
2028Q1	47.07	52.76	56.87	59.91	216.60	10	2,165.98
2028Q2	52.76	56.87	59.91	63.75	233.28	10	2,332.83
2028Q3	56.87	59.91	63.75	67.16	247.68	10	2,476.81
2028Q4	59.91	63.75	67.16	70.76	261.58	10	2,615.78
2029Q1	63.75	67.16	70.76	74.58	276.25	8	2,209.97
2029Q2	67.16	70.76	74.58	78.20	290.69	8	2,325.55
2029Q3	70.76	74.58	78.20	81.54	305.07	8	2,440.58
2029Q4	74.58	78.20	81.54	85.03	319.34	8	2,554.71
2030Q1	78.20	81.54	85.03	88.68	333.44	6	2,000.64

Active arithmetic: 41.818426046 + 47.065025733 + 52.759825609 + 56.865546715 = 198.508824103; multiplied by 10 = 1,985.088241 billion, or 1.985088 trillion. Displayed components are rounded; sums use full precision.

16 | ANALYTICAL SCORECARD

Risk, score and decision triggers

Framework component	Points	Reason
Core thesis	13	Competitive frontier models; broad paid workflow routes; temporal capability lead
Cycle stage	9	Rapid adoption with heavy construction / qualification ahead
TAM expansion	10	Several large paid-service wallets with substantial overlap
Catalysts	5	IPO disclosures, paid conversion, model / product releases and capacity ramps
Macro	9	AI infrastructure and enterprise adoption; financing and demand sensitivity
Alpha	2	Source-based cost / claim reconciliation and measured vertical capture
Risks	-5	Five major risk classes below
Total	43 / 60	Rounded analytical Base 72 / 100; initial Excel Base 72

Risk class	Evidence / trigger to monitor
Competition / pricing	Task-level wins, renewals, paid use, model substitution, effective net prices
Compute execution / cost	Ready-for-service dates, fees, take-or-pay floors, power and memory / chip supply
Concentration / distribution	CSP share, fees, minimum spend, investor / customer / provider overlap
Balance sheet / ownership	Cash burn, notes, leases, IPO proceeds, tax withholding and recurring awards
Governance / safety / law	Release gates, government access, misuse cleanup, benefit commitments and litigation

Increase confidence when recognized paid growth and renewals support the modeled trajectory, security credits convert to incremental paid use, provider deliveries meet readiness dates and cash / claim reporting improves. Reduce confidence when effective prices fall faster, key model demand shifts, minimum fees outrun utilization, delayed capacity limits revenue or financing terms consume more future ownership.

The largest immediate new disclosures to obtain are an amended S-1 with IPO terms, exact Q3 revenue / costs, contract maturity detail and final compensation / withholding mechanics. Each can change financial feasibility or valuation.

17 | RESEARCH COMPLETENESS

Management coverage and source limits

The complete publisher transcript of the October 27 Builders episode was read. The interview was recorded July 6; its transcript runs from 00:00:09 to 00:39:07 within a 40:27 episode. The complete published host transcript of the October 22 ThinkHealth interview was read; the event was October 16 and the host edited it for length and clarity. Complete unedited replay coverage of both remains unavailable. A public periodic earnings-call pair has yet to be established for this pre-IPO company.

The full readable S-1 was reviewed through official SEC source content and saved local extracts. Seventeen exact original SEC graphic URLs returned HTTP 403, so original graphic pixels remain unavailable. This report uses labeled analytical charts reconstructed from source tables and model outputs. Every chart has its underlying numeric table immediately beneath it.

Exact Q3 recognized dollars remain blank; the revenue proxy uses two rounded source figures. Product costs, workload shares, provider allocation and readiness timing require bounded assumptions. IPO proceeds, final diluted shares, vesting-tax cash, note conversion and executive award remeasurement remain undisclosed. The lease pricing letter and per-pod note limits are redacted; the leased-asset perimeter and eligibility allocations are approximate.

Paid-security revenue, customers, conversion after credits, vertical fees, marketplace take rates, drug IP / royalty rights and detailed unit-cost allocations remain undisclosed. External 2027 budget forecasts use their stated vintages. Future market paths, wallet shares, adoption, costs, probabilities, joint dependence and multiples are selected model inputs.

Historical Excel displays and rolling ceilings through Q3 2026 remain preserved. ANT has no earlier published company forecast in this workbook. The Q3 current reconstruction and source actuals are labeled separately; Q4 2026 and later forecasts form the live path.

18 | CROSS-COMPANY OBSERVATIONS

Supply-chain and ecosystem watches

Counterparty	What to watch
Microsoft/Azure	Distribution/compute, competing models, customer delivery, pricing and investment exposure
Alphabet/Google	Vertex distribution, TPU supply, financing and Gemini competition
Amazon/AWS	Bedrock, Trainium, training/compute contracts and financing/counterparty concentration
Broadcom	Custom accelerator supply, equipment lease, contingent/cashless funding and delivery schedule
AMD/NVIDIA	Disclosed four-family fleet, hardware/software readiness and workload economics
TSMC	Advanced manufacturing/Taiwan concentration and upstream supply availability
Micron/Samsung/SKhynix	SeriesHstrategic investment, memory availability and infrastructure demand

These watches identify economic channels. Existing company models and protected controls remain outside this ANT publication. Supplier-level order values, shipment margins and earnings need issuer-specific evidence and review.

APPENDIX A | 2026Q3 TO 2027Q2

Operating driver inputs

USD billions unless shown as a percentage or index. Q3 2026 is a current reconstruction. Its driver absolute values and historical status are retained separately. Future quarterly changes are selected assumptions.

Driver / financial line	2026Q3	2026Q4	2027Q1	2027Q2
usage growth	0.00%	35.00%	30.00%	25.00%
consumption price change	0.00%	-4.00%	-4.00%	-4.00%
subscription seat growth	0.00%	30.00%	30.00%	25.00%
subscription ARPU change	0.00%	-2.00%	-2.00%	-2.00%
unit compute cost change	0.00%	-3.00%	-3.00%	-3.00%
usage per seat change	0.00%	5.00%	5.00%	5.00%
CSP revenue fraction	48.00%	48.00%	47.00%	47.00%
other marketing revenue fraction	0.00%	5.05%	5.00%	5.00%
capacity delay exposure	0.00%	50.00%	100.00%	75.00%
cash personnel growth or absolute 2026	0.8000	1.1000	15.00%	15.00%
other nature growth or absolute 2026	1.4000	1.8000	8.00%	8.00%
cash PPE capex	0.4000	1.0000	1.5000	2.0000
short term compute premium	0.00%	25.00%	20.00%	15.00%

APPENDIX A | 2026Q3 TO 2027Q2

Sales and operating statement

USD billions unless shown as a percentage or index. Q3 2026 is a current reconstruction. Its driver absolute values and historical status are retained separately. Future quarterly changes are selected assumptions.

Driver / financial line	2026Q3	2026Q4	2027Q1	2027Q2
Paid consumption usage index	100.0000	135.0000	175.5000	219.3750
Consumption price index	100.0000	96.0000	92.1600	88.4736
Paid subscription seat index	100.0000	130.0000	169.0000	211.2500
Subscription ARPU index	100.0000	98.0000	96.0400	94.1192
Unit compute cost index	100.0000	97.0000	94.0900	91.2673
Usage per paid seat index	100.0000	105.0000	110.2500	115.7625
policy loss fraction	0.00%	1.57%	1.57%	1.57%
capacity loss fraction	0.00%	1.00%	2.00%	1.50%
release loss fraction	0.00%	0.00%	0.00%	2.50%
core consumption revenue	13.5902	17.1381	21.1764	24.8878
core subscription revenue	3.3518	4.1602	5.2457	6.2927
credits contra revenue	0.0000	0.0087	0.0000	0.0000
existing gov discount revenue loss	0.0000	0.0125	0.0188	0.0188
incremental market revenue	0.0000	0.0000	0.1743	0.3530
revenue	16.9420	21.2984	26.5963	31.5335
total COR	2.7561	4.9797	5.8936	7.0197
GP	14.1859	16.3187	20.7027	24.5138
GM	83.73%	76.62%	77.84%	77.74%
RD	8.6480	23.6225	18.8529	22.3957
SM	3.7554	5.6354	6.1452	7.3997
GA	2.6071	2.4416	1.6004	2.3045
OP	-0.8246	-15.3807	-5.8958	-7.5862
OP margin	-4.87%	-72.22%	-22.17%	-24.06%
core cash compute	8.0000	18.0000	15.7410	17.1720
DA	1.6576	3.2851	4.1389	5.4196
SBC	0.6134	8.3333	3.9532	6.4413
cash personnel	0.8000	1.1000	1.2650	1.4547
channel and marketing expense	3.2956	4.1430	5.0466	5.9555
other nature expense	1.4000	1.8000	1.9440	2.0995
future matching expense	0.0000	0.0176	0.0457	0.0539

APPENDIX A | 2026Q3 TO 2027Q2

Asset, claim and cash ledger

USD billions unless shown as a percentage or index. Q3 2026 is a current reconstruction. Its driver absolute values and historical status are retained separately. Future quarterly changes are selected assumptions.

Driver / financial line	2026Q3	2026Q4	2027Q1	2027Q2
new finance lease assets	32.1514	32.1514	16.0757	24.1135
finance lease DA	1.6076	3.2151	4.0189	5.2246
finance lease liability	30.9647	59.8788	71.9134	90.7802
finance lease principal due	1.6297	3.2373	4.0411	5.2468
finance lease cash interest	0.3331	0.9485	1.3397	1.6748
NPA eligible principal by cohort	0.0000	0.0000	0.0000	0.4019
NPA eligible interest by cohort	0.0000	0.0000	0.0000	0.1523
conditional original note draw	0.0000	0.0000	0.0000	0.2771
conditional cumulative original draw	0.0000	0.0000	0.0000	0.2771
active cashless note setoff	0.0000	0.0000	0.0000	0.1663
NPA PIK	0.0000	0.0000	0.0000	0.0000
NPA notes claim	0.0000	0.0000	0.0000	0.1663
source RSU liquidity expense	0.0000	7.4143	2.5471	4.8925
legacy award SBC	0.6134	0.6134	0.6134	0.6134
new retention SBC	0.0000	0.3056	0.7927	0.9354
RSU net tax cash proxy	0.0000	2.2243	0.7641	1.4677
future matching cash	0.0000	0.0035	0.0091	0.0108
future matching noncash	0.0000	0.0141	0.0366	0.0432
AR	8.2868	10.4177	13.2982	15.5935
compute prepay	0.9000	0.7871	0.8586	0.9302
CSP payable	3.9130	8.8043	7.8896	8.5299
deferred revenue	2.4192	3.0027	3.7862	4.5419
delta NWC	1.0016	-3.4569	3.0833	0.9709
cash tax	0.0000	0.0000	0.0000	0.0000
normalized CFO	1.8117	-1.7398	-2.4901	1.4633
cash PPE capex	0.4000	1.0000	1.5000	2.0000
legacy legal cash proxy	0.3000	0.5000	0.3000	0.2090
restriction transfer	0.0000	0.0000	3.0000	0.0000
closing unrestricted liquidity	131.4330	123.2317	111.4363	104.3513
restricted cash	2.5290	2.5290	5.5290	5.5290
external funding needed to floor	0.0000	0.0000	0.0000	0.0000

APPENDIX A | 2027Q3 TO 2028Q2

Operating driver inputs

USD billions unless shown as a percentage or index. Q3 2026 is a current reconstruction. Its driver absolute values and historical status are retained separately. Future quarterly changes are selected assumptions.

Driver / financial line	2027Q3	2027Q4	2028Q1	2028Q2
usage growth	20.00%	15.00%	14.00%	12.00%
consumption price change	-3.00%	-3.00%	-3.00%	-3.00%
subscription seat growth	20.00%	15.00%	18.00%	15.00%
subscription ARPU change	-2.00%	-2.00%	-2.00%	-2.00%
unit compute cost change	-3.00%	-3.00%	-4.00%	-4.00%
usage per seat change	5.00%	5.00%	3.00%	3.00%
CSP revenue fraction	47.00%	47.00%	45.00%	45.00%
other marketing revenue fraction	5.00%	5.00%	4.50%	4.50%
capacity delay exposure	50.00%	25.00%	50.00%	50.00%
cash personnel growth or absolute 2026	12.00%	10.00%	8.00%	8.00%
other nature growth or absolute 2026	8.00%	8.00%	6.00%	6.00%
cash PPE capex	2.0000	2.5000	3.0000	3.0000
short term compute premium	10.00%	5.00%	0.00%	0.00%

APPENDIX A | 2027Q3 TO 2028Q2

Sales and operating statement

USD billions unless shown as a percentage or index. Q3 2026 is a current reconstruction. Its driver absolute values and historical status are retained separately. Future quarterly changes are selected assumptions.

Driver / financial line	2027Q3	2027Q4	2028Q1	2028Q2
Paid consumption usage index	263.2500	302.7375	345.1208	386.5352
Consumption price index	85.8194	83.2448	80.7475	78.3250
Paid subscription seat index	253.5000	291.5250	343.9995	395.5994
Subscription ARPU index	92.2368	90.3921	88.5842	86.8126
Unit compute cost index	88.5293	85.8734	82.4385	79.1409
Usage per paid seat index	121.5506	127.6282	131.4570	135.4007
policy loss fraction	1.57%	1.57%	0.79%	0.79%
capacity loss fraction	1.00%	0.50%	1.00%	1.00%
release loss fraction	2.50%	2.50%	2.50%	0.00%
core consumption revenue	29.1260	32.6635	36.2302	40.3907
core subscription revenue	7.4394	8.4284	9.7759	11.3053
credits contra revenue	0.0000	0.0000	0.0000	0.0000
existing gov discount revenue loss	0.0188	0.0188	0.0188	0.0188
incremental market revenue	0.5388	0.7265	1.0589	1.0639
revenue	37.1043	41.8184	47.0650	52.7598
total COR	7.9356	8.7192	9.4453	10.3175
GP	29.1687	33.0992	37.6197	42.4423
GM	78.61%	79.15%	79.93%	80.44%
RD	23.2021	25.1712	25.7769	26.2806
SM	8.3667	9.3114	9.8845	10.9811
GA	2.0044	2.0253	2.2728	2.3275
OP	-4.4045	-3.4087	-0.3145	2.8531
OP margin	-11.87%	-8.15%	-0.67%	5.41%
core cash compute	18.6030	20.0340	20.0790	20.9520
DA	6.7253	8.0310	8.5578	8.7078
SBC	4.6185	4.2876	4.8951	5.1227
cash personnel	1.6293	1.7923	1.9356	2.0905
channel and marketing expense	6.9840	7.8485	8.2811	9.3053
other nature expense	2.2675	2.4489	2.5958	2.7516
future matching expense	0.0633	0.0711	0.1061	0.1192

APPENDIX A | 2027Q3 TO 2028Q2

Asset, claim and cash ledger

USD billions unless shown as a percentage or index. Q3 2026 is a current reconstruction. Its driver absolute values and historical status are retained separately. Future quarterly changes are selected assumptions.

Driver / financial line	2027Q3	2027Q4	2028Q1	2028Q2
new finance lease assets	24.1135	24.1135	8.0378	0.0000
finance lease DA	6.4303	7.6360	8.0378	8.0378
finance lease liability	108.4413	124.8968	124.8746	116.8146
finance lease principal due	6.4524	7.6581	8.0600	8.0600
finance lease cash interest	2.0736	2.4298	2.5713	2.4907
NPA eligible principal by cohort	1.0047	1.6076	2.2104	2.4114
NPA eligible interest by cohort	0.3768	0.5875	0.7775	0.8096
conditional original note draw	0.6908	1.0976	1.4940	1.6105
conditional cumulative original draw	0.9679	2.0654	3.5594	5.1699
active cashless note setoff	0.4145	0.6585	0.8964	0.9663
NPA PIK	0.0040	0.0142	0.0301	0.0523
NPA notes claim	0.5847	1.2574	2.1839	3.2025
source RSU liquidity expense	3.0247	3.0247	3.0247	3.0247
legacy award SBC	0.4968	0.0301	0.0301	0.0301
new retention SBC	1.0970	1.2328	1.8402	2.0678
RSU net tax cash proxy	0.9074	0.9074	0.9074	0.9074
future matching cash	0.0127	0.0142	0.0212	0.0238
future matching noncash	0.0506	0.0569	0.0849	0.0954
AR	18.1488	20.4547	23.2739	26.0900
compute prepay	1.0017	1.0040	1.0476	1.1349
CSP payable	9.1572	9.8773	10.0458	10.4782
deferred revenue	5.3696	6.0834	7.0560	8.1599
delta NWC	1.1720	0.8741	1.7218	1.3672
cash tax	0.0000	0.0000	0.0090	0.1196
normalized CFO	3.7443	5.6628	8.9213	12.8016
cash PPE capex	2.0000	2.5000	3.0000	3.0000
legacy legal cash proxy	0.0000	0.0000	0.0000	0.0000
restriction transfer	0.0000	0.0000	0.0000	0.0000
closing unrestricted liquidity	99.1502	94.4060	92.2563	94.0568
restricted cash	5.5290	5.5290	5.5290	5.5290
external funding needed to floor	0.0000	0.0000	0.0000	0.0000

APPENDIX A | 2028Q3 TO 2029Q2

Operating driver inputs

USD billions unless shown as a percentage or index. Q3 2026 is a current reconstruction. Its driver absolute values and historical status are retained separately. Future quarterly changes are selected assumptions.

Driver / financial line	2028Q3	2028Q4	2029Q1	2029Q2
usage growth	10.00%	8.00%	8.00%	8.00%
consumption price change	-3.00%	-3.00%	-3.00%	-3.00%
subscription seat growth	12.00%	10.00%	10.00%	10.00%
subscription ARPU change	-2.00%	-2.00%	-2.00%	-2.00%
unit compute cost change	-4.00%	-4.00%	-3.00%	-3.00%
usage per seat change	3.00%	3.00%	2.00%	2.00%
CSP revenue fraction	45.00%	45.00%	43.00%	43.00%
other marketing revenue fraction	4.50%	4.50%	3.50%	3.50%
capacity delay exposure	25.00%	25.00%	25.00%	25.00%
cash personnel growth or absolute 2026	7.00%	7.00%	5.00%	5.00%
other nature growth or absolute 2026	6.00%	6.00%	4.00%	4.00%
cash PPE capex	3.0000	3.0000	3.5000	3.5000
short term compute premium	0.00%	0.00%	0.00%	0.00%

APPENDIX A | 2028Q3 TO 2029Q2

Sales and operating statement

USD billions unless shown as a percentage or index. Q3 2026 is a current reconstruction. Its driver absolute values and historical status are retained separately. Future quarterly changes are selected assumptions.

Driver / financial line	2028Q3	2028Q4	2029Q1	2029Q2
Paid consumption usage index	425.1888	459.2039	495.9402	535.6154
Consumption price index	75.9753	73.6960	71.4852	69.3406
Paid subscription seat index	443.0714	487.3785	536.1163	589.7280
Subscription ARPU index	85.0763	83.3748	81.7073	80.0731
Unit compute cost index	75.9753	72.9363	70.7482	68.6257
Usage per paid seat index	139.4627	143.6466	146.5195	149.4499
policy loss fraction	0.79%	0.79%	0.39%	0.39%
capacity loss fraction	0.50%	0.50%	0.50%	0.50%
release loss fraction	0.00%	0.00%	0.00%	0.00%
core consumption revenue	43.3176	45.3805	47.7312	50.0041
core subscription revenue	12.4718	13.4446	14.5511	15.6861
credits contra revenue	0.0000	0.0000	0.0000	0.0000
existing gov discount revenue loss	0.0188	0.0188	0.0188	0.0188
incremental market revenue	1.0761	1.0829	1.4676	1.4676
revenue	56.8655	59.9080	63.7499	67.1578
total COR	10.7839	11.2109	11.8955	12.5004
GP	46.0817	48.6971	51.8544	54.6574
GM	81.04%	81.29%	81.34%	81.39%
RD	26.8956	27.0469	27.4845	27.3038
SM	11.6503	12.1597	11.8856	12.4828
GA	2.0932	1.9671	2.0774	2.1644
OP	5.4425	7.5234	10.4068	12.7065
OP margin	9.57%	12.56%	16.32%	18.92%
core cash compute	22.6980	23.5710	24.1250	24.1250
DA	8.8578	9.0078	9.1578	9.3328
SBC	3.6782	2.7275	2.8597	2.9720
cash personnel	2.2368	2.3934	2.5131	2.6387
channel and marketing expense	10.0421	10.5885	10.2143	10.7732
other nature expense	2.9167	3.0917	3.2153	3.3439
future matching expense	0.1287	0.1357	0.1437	0.1515

APPENDIX A | 2028Q3 TO 2029Q2

Asset, claim and cash ledger

USD billions unless shown as a percentage or index. Q3 2026 is a current reconstruction. Its driver absolute values and historical status are retained separately. Future quarterly changes are selected assumptions.

Driver / financial line	2028Q3	2028Q4	2029Q1	2029Q2
new finance lease assets	0.0000	0.0000	0.0000	0.0000
finance lease DA	8.0378	8.0378	8.0378	8.0378
finance lease liability	108.7546	100.6946	92.6346	84.5746
finance lease principal due	8.0600	8.0600	8.0600	8.0600
finance lease cash interest	2.3555	2.1930	1.9863	1.8476
NPA eligible principal by cohort	2.4114	2.4114	2.4114	2.4114
NPA eligible interest by cohort	0.7699	0.7212	0.6580	0.6172
conditional original note draw	1.5906	1.5663	1.5347	1.5143
conditional cumulative original draw	6.7605	8.3268	9.8615	11.3758
active cashless note setoff	0.9544	0.9398	0.9208	0.9086
NPA PIK	0.0775	0.1026	0.1251	0.1516
NPA notes claim	4.2344	5.2768	6.3226	7.3828
source RSU liquidity expense	1.4165	0.3444	0.3444	0.3444
legacy award SBC	0.0301	0.0301	0.0241	0.0000
new retention SBC	2.2316	2.3530	2.4913	2.6276
RSU net tax cash proxy	0.4250	0.1033	0.1033	0.1033
future matching cash	0.0257	0.0271	0.0287	0.0303
future matching noncash	0.1029	0.1086	0.1149	0.1212
AR	27.8147	29.3028	31.8749	33.2099
compute prepay	1.1786	1.2063	1.2063	1.2063
CSP payable	11.2196	11.6474	12.2264	12.0921
deferred revenue	9.0019	9.7040	10.5027	11.3219
delta NWC	0.1849	0.3860	1.1944	0.6501
cash tax	0.6019	1.0456	1.6591	2.1415
normalized CFO	14.9393	15.7427	17.6996	20.4933
cash PPE capex	3.0000	3.0000	3.5000	3.5000
legacy legal cash proxy	0.0000	0.0000	0.0000	0.0000
restriction transfer	0.0000	0.0000	0.0000	0.0000
closing unrestricted liquidity	98.4655	103.9847	110.9417	120.6803
restricted cash	5.5290	5.5290	5.5290	5.5290
external funding needed to floor	0.0000	0.0000	0.0000	0.0000

APPENDIX A | 2029Q3 TO 2030Q2

Operating driver inputs

USD billions unless shown as a percentage or index. Q3 2026 is a current reconstruction. Its driver absolute values and historical status are retained separately. Future quarterly changes are selected assumptions.

Driver / financial line	2029Q3	2029Q4	2030Q1	2030Q2
usage growth	8.00%	8.00%	6.00%	6.00%
consumption price change	-3.00%	-3.00%	-2.00%	-2.00%
subscription seat growth	10.00%	10.00%	8.00%	8.00%
subscription ARPU change	-2.00%	-2.00%	-2.00%	-2.00%
unit compute cost change	-3.00%	-3.00%	-3.00%	-3.00%
usage per seat change	2.00%	2.00%	1.00%	1.00%
CSP revenue fraction	43.00%	43.00%	40.00%	40.00%
other marketing revenue fraction	3.50%	3.50%	3.00%	3.00%
capacity delay exposure	25.00%	25.00%	25.00%	25.00%
cash personnel growth or absolute 2026	5.00%	5.00%	4.00%	4.00%
other nature growth or absolute 2026	4.00%	4.00%	3.00%	3.00%
cash PPE capex	3.5000	3.5000	4.0000	4.0000
short term compute premium	0.00%	0.00%	0.00%	0.00%

APPENDIX A | 2029Q3 TO 2030Q2

Sales and operating statement

USD billions unless shown as a percentage or index. Q3 2026 is a current reconstruction. Its driver absolute values and historical status are retained separately. Future quarterly changes are selected assumptions.

Driver / financial line	2029Q3	2029Q4	2030Q1	2030Q2
Paid consumption usage index	578.4646	624.7418	662.2263	701.9599
Consumption price index	67.2604	65.2426	63.9377	62.6590
Paid subscription seat index	648.7008	713.5708	770.6565	832.3090
Subscription ARPU index	78.4717	76.9022	75.3642	73.8569
Unit compute cost index	66.5670	64.5700	62.6329	60.7539
Usage per paid seat index	152.4389	155.4877	157.0426	158.6130
policy loss fraction	0.39%	0.39%	0.39%	0.39%
capacity loss fraction	0.50%	0.50%	0.50%	0.50%
release loss fraction	0.00%	0.00%	0.00%	0.00%
core consumption revenue	52.3851	54.8796	57.0096	59.2223
core subscription revenue	16.9096	18.2286	19.2931	20.4199
credits contra revenue	0.0000	0.0000	0.0000	0.0000
existing gov discount revenue loss	0.0188	0.0188	0.0188	0.0188
incremental market revenue	1.4676	1.4676	1.8948	1.8948
revenue	70.7624	74.5757	78.1976	81.5370
total COR	13.1440	13.8278	14.3984	14.8985
GP	57.6184	60.7479	63.7992	66.6385
GM	81.43%	81.46%	81.59%	81.73%
RD	27.1143	27.1249	29.9989	29.9474
SM	13.1163	13.7859	13.3982	13.9378
GA	2.2611	2.3627	2.4702	2.5570
OP	15.1267	17.4743	17.9319	20.1963
OP margin	21.38%	23.43%	22.93%	24.77%
core cash compute	24.1250	24.3514	27.2500	27.2500
DA	9.5078	9.6828	9.8578	10.0578
SBC	3.1162	3.2687	3.3965	3.5301
cash personnel	2.7707	2.9092	3.0256	3.1466
channel and marketing expense	11.3643	11.9897	11.4454	11.9463
other nature expense	3.4777	3.6168	3.7253	3.8371
future matching expense	0.1598	0.1686	0.1760	0.1837

APPENDIX A | 2029Q3 TO 2030Q2

Asset, claim and cash ledger

USD billions unless shown as a percentage or index. Q3 2026 is a current reconstruction. Its driver absolute values and historical status are retained separately. Future quarterly changes are selected assumptions.

Driver / financial line	2029Q3	2029Q4	2030Q1	2030Q2
new finance lease assets	0.0000	0.0000	0.0000	0.0000
finance lease DA	8.0378	8.0378	8.0378	8.0378
finance lease liability	76.5146	68.4546	60.3946	52.3346
finance lease principal due	8.0600	8.0600	8.0600	8.0600
finance lease cash interest	1.7054	1.5429	1.3503	1.2046
NPA eligible principal by cohort	2.4114	2.4114	2.4114	2.4114
NPA eligible interest by cohort	0.5754	0.5268	0.4677	0.4248
conditional original note draw	1.4934	1.4691	1.4395	1.4181
conditional cumulative original draw	12.8691	14.3382	15.7777	17.1958
active cashless note setoff	0.8960	0.8814	0.8637	0.8509
NPA PIK	0.1790	0.2051	0.2265	0.2552
NPA notes claim	8.4577	9.5442	10.6344	11.7405
source RSU liquidity expense	0.3444	0.3444	0.3444	0.3444
legacy award SBC	0.0000	0.0000	0.0000	0.0000
new retention SBC	2.7718	2.9243	3.0521	3.1857
RSU net tax cash proxy	0.1033	0.1033	0.1033	0.1033
future matching cash	0.0320	0.0337	0.0352	0.0367
future matching noncash	0.1279	0.1349	0.1408	0.1470
AR	34.6120	36.4773	39.0988	40.3205
compute prepay	1.2063	1.3625	1.3625	1.3625
CSP payable	11.9607	12.0714	13.8368	13.6848
deferred revenue	12.2050	13.1570	13.9253	14.7386
delta NWC	0.6505	0.9588	0.0877	0.5605
cash tax	2.6485	3.1453	3.2710	3.7473
normalized CFO	22.8743	24.9139	26.6180	28.4188
cash PPE capex	3.5000	3.5000	4.0000	4.0000
legacy legal cash proxy	0.0000	0.0000	0.0000	0.0000
restriction transfer	0.0000	0.0000	0.0000	0.0000
closing unrestricted liquidity	132.7873	146.9193	162.2377	179.3440
restricted cash	5.5290	5.5290	5.5290	5.5290
external funding needed to floor	0.0000	0.0000	0.0000	0.0000

APPENDIX A | 2030Q3 TO 2030Q4

Operating driver inputs

USD billions unless shown as a percentage or index. Q3 2026 is a current reconstruction. Its driver absolute values and historical status are retained separately. Future quarterly changes are selected assumptions.

Driver / financial line	2030Q3	2030Q4
usage growth	6.00%	6.00%
consumption price change	-2.00%	-2.00%
subscription seat growth	8.00%	8.00%
subscription ARPU change	-2.00%	-2.00%
unit compute cost change	-3.00%	-3.00%
usage per seat change	1.00%	1.00%
CSP revenue fraction	40.00%	40.00%
other marketing revenue fraction	3.00%	3.00%
capacity delay exposure	25.00%	25.00%
cash personnel growth or absolute 2026	4.00%	4.00%
other nature growth or absolute 2026	3.00%	3.00%
cash PPE capex	4.0000	4.0000
short term compute premium	0.00%	0.00%

APPENDIX A | 2030Q3 TO 2030Q4

Sales and operating statement

USD billions unless shown as a percentage or index. Q3 2026 is a current reconstruction. Its driver absolute values and historical status are retained separately. Future quarterly changes are selected assumptions.

Driver / financial line	2030Q3	2030Q4
Paid consumption usage index	744.0775	788.7221
Consumption price index	61.4058	60.1777
Paid subscription seat index	898.8938	970.8053
Subscription ARPU index	72.3798	70.9322
Unit compute cost index	58.9313	57.1633
Usage per paid seat index	160.1991	161.8011
policy loss fraction	0.39%	0.39%
capacity loss fraction	0.50%	0.50%
release loss fraction	0.00%	0.00%
core consumption revenue	61.5209	63.9086
core subscription revenue	21.6124	22.8745
credits contra revenue	0.0000	0.0000
existing gov discount revenue loss	0.0188	0.0188
incremental market revenue	1.8948	1.8948
revenue	85.0281	88.6780
total COR	15.4017	15.9426
GP	69.6264	72.7353
GM	81.89%	82.02%
RD	29.6652	29.6301
SM	14.4689	15.0579
GA	2.5729	2.6666
OP	22.9195	25.3807
OP margin	26.96%	28.62%
core cash compute	27.2500	27.2872
DA	10.2578	10.4578
SBC	3.3253	3.4713
cash personnel	3.2724	3.4033
channel and marketing expense	12.4700	13.0175
other nature expense	3.9522	4.0707
future matching expense	0.1918	0.2002

APPENDIX A | 2030Q3 TO 2030Q4

Asset, claim and cash ledger

USD billions unless shown as a percentage or index. Q3 2026 is a current reconstruction. Its driver absolute values and historical status are retained separately. Future quarterly changes are selected assumptions.

Driver / financial line	2030Q3	2030Q4
new finance lease assets	0.0000	0.0000
finance lease DA	8.0378	8.0378
finance lease liability	44.2746	36.2146
finance lease principal due	8.0600	8.0600
finance lease cash interest	1.0553	0.8928
NPA eligible principal by cohort	2.4114	2.4114
NPA eligible interest by cohort	0.3809	0.3323
conditional original note draw	1.3961	1.3718
conditional cumulative original draw	18.5919	19.9638
active cashless note setoff	0.8377	0.8231
NPA PIK	0.2849	0.3123
NPA notes claim	12.8631	13.9984
source RSU liquidity expense	0.0000	0.0000
legacy award SBC	0.0000	0.0000
new retention SBC	3.3253	3.4713
RSU net tax cash proxy	0.0000	0.0000
future matching cash	0.0384	0.0400
future matching noncash	0.1534	0.1601
AR	41.5898	43.3751
compute prepay	1.3625	1.3625
CSP payable	13.5360	13.5542
deferred revenue	15.5993	16.5103
delta NWC	0.5573	0.8561
cash tax	4.3158	4.8351
normalized CFO	30.7276	32.8861
cash PPE capex	4.0000	4.0000
legacy legal cash proxy	0.0000	0.0000
restriction transfer	0.0000	0.0000
closing unrestricted liquidity	198.8493	220.4984
restricted cash	5.5290	5.5290
external funding needed to floor	0.0000	0.0000

APPENDIX B | COMPLETE QUARTERLY REVENUE DERIVATION

Defensive cybersecurity recognition inputs

USD billions. Outcome probability is 65.0% and the external net-new fraction is 25.0%. Net incremental sales = annual conditional wallet / 4 x probability x external net-new fraction x adoption x expected serving-capacity factor. The capacity factor applies once to opportunity revenue. Subsequent cost percentages apply to that net increment.

Quarter	Annual wallet $B	Adoption	Capacity factor	Net revenue $B
2027Q1	6.019790	0.2500	0.9800	0.059916
2027Q2	6.019790	0.5000	0.9850	0.120443
2027Q3	6.019790	0.7500	0.9900	0.181581
2027Q4	6.019790	1.0000	0.9950	0.243331
2028Q1	7.840000	1.0000	0.9900	0.315315
2028Q2	7.840000	1.0000	0.9900	0.315315
2028Q3	7.840000	1.0000	0.9950	0.316908
2028Q4	7.840000	1.0000	0.9950	0.316908
2029Q1	9.870000	1.0000	0.9950	0.398964
2029Q2	9.870000	1.0000	0.9950	0.398964
2029Q3	9.870000	1.0000	0.9950	0.398964
2029Q4	9.870000	1.0000	0.9950	0.398964
2030Q1	11.900000	1.0000	0.9950	0.481020
2030Q2	11.900000	1.0000	0.9950	0.481020
2030Q3	11.900000	1.0000	0.9950	0.481020
2030Q4	11.900000	1.0000	0.9950	0.481020

Annual fee-wallet factor	2027	2028	2029	2030
AI cybersecurity vendor budget	85.9970	112.0000	141.0000	170.0000
model-service wallet fraction	0.2000	0.2000	0.2000	0.2000
Anthropic conditional capture	0.3500	0.3500	0.3500	0.3500

APPENDIX B | REVENUE, COSTS AND INCREMENTAL OP

Defensive cybersecurity quarterly bridge

USD billions. Probability-weighted revenue = conditional annual wallet / 4 x probability x external net-new fraction x adoption x serving capacity. Costs include persistent fixed R&D. Values are rounded for display; the linked workbook carries full precision.

Quarter	Revenue	Serving	R&D	S&M	G&A	Fixed R&D	OP
2027Q1	0.0599	0.0150	0.0560	0.0072	0.0030	0.0500	-0.0212
2027Q2	0.1204	0.0301	0.0620	0.0145	0.0060	0.0500	0.0078
2027Q3	0.1816	0.0454	0.0682	0.0218	0.0091	0.0500	0.0372
2027Q4	0.2433	0.0608	0.0743	0.0292	0.0122	0.0500	0.0668
2028Q1	0.3153	0.0788	0.0890	0.0378	0.0158	0.0575	0.0939
2028Q2	0.3153	0.0788	0.0890	0.0378	0.0158	0.0575	0.0939
2028Q3	0.3169	0.0792	0.0892	0.0380	0.0158	0.0575	0.0946
2028Q4	0.3169	0.0792	0.0892	0.0380	0.0158	0.0575	0.0946
2029Q1	0.3990	0.0997	0.1060	0.0479	0.0199	0.0661	0.1254
2029Q2	0.3990	0.0997	0.1060	0.0479	0.0199	0.0661	0.1254
2029Q3	0.3990	0.0997	0.1060	0.0479	0.0199	0.0661	0.1254
2029Q4	0.3990	0.0997	0.1060	0.0479	0.0199	0.0661	0.1254
2030Q1	0.4810	0.1203	0.1241	0.0577	0.0241	0.0760	0.1548
2030Q2	0.4810	0.1203	0.1241	0.0577	0.0241	0.0760	0.1548
2030Q3	0.4810	0.1203	0.1241	0.0577	0.0241	0.0760	0.1548
2030Q4	0.4810	0.1203	0.1241	0.0577	0.0241	0.0760	0.1548

Fixed R&D is included in the R&D column. Incremental OP subtracts serving, R&D, sales and marketing, and G&A once. Complete factor paths and timing inputs appear on the preceding page.

APPENDIX B | COMPLETE QUARTERLY REVENUE DERIVATION

Enterprise agent workflows recognition inputs

USD billions. Outcome probability is 60.0% and the external net-new fraction is 25.0%. Net incremental sales = annual conditional wallet / 4 x probability x external net-new fraction x adoption x expected serving-capacity factor. The capacity factor applies once to opportunity revenue. Subsequent cost percentages apply to that net increment.

Quarter	Annual wallet $B	Adoption	Capacity factor	Net revenue $B
2027Q1	4.910400	0.2500	0.9800	0.045114
2027Q2	4.910400	0.5000	0.9850	0.090689
2027Q3	4.910400	0.7500	0.9900	0.136724
2027Q4	4.910400	1.0000	0.9950	0.183219
2028Q1	7.500000	1.0000	0.9900	0.278438
2028Q2	7.500000	1.0000	0.9900	0.278438
2028Q3	7.500000	1.0000	0.9950	0.279844
2028Q4	7.500000	1.0000	0.9950	0.279844
2029Q1	10.500000	1.0000	0.9950	0.391781
2029Q2	10.500000	1.0000	0.9950	0.391781
2029Q3	10.500000	1.0000	0.9950	0.391781
2029Q4	10.500000	1.0000	0.9950	0.391781
2030Q1	13.500000	1.0000	0.9950	0.503719
2030Q2	13.500000	1.0000	0.9950	0.503719
2030Q3	13.500000	1.0000	0.9950	0.503719
2030Q4	13.500000	1.0000	0.9950	0.503719

Annual fee-wallet factor	2027	2028	2029	2030
agent/assistant vendor budget	65.4720	100.0000	140.0000	180.0000
model-service wallet fraction	0.2500	0.2500	0.2500	0.2500
Anthropic conditional capture	0.3000	0.3000	0.3000	0.3000

APPENDIX B | REVENUE, COSTS AND INCREMENTAL OP

Enterprise agent workflows quarterly bridge

USD billions. Probability-weighted revenue = conditional annual wallet / 4 x probability x external net-new fraction x adoption x serving capacity. Costs include persistent fixed R&D. Values are rounded for display; the linked workbook carries full precision.

Quarter	Revenue	Serving	R&D	S&M	G&A	Fixed R&D	OP
2027Q1	0.0451	0.0081	0.0336	0.0045	0.0018	0.0300	-0.0029
2027Q2	0.0907	0.0163	0.0373	0.0091	0.0036	0.0300	0.0244
2027Q3	0.1367	0.0246	0.0409	0.0137	0.0055	0.0300	0.0520
2027Q4	0.1832	0.0330	0.0447	0.0183	0.0073	0.0300	0.0799
2028Q1	0.2784	0.0501	0.0568	0.0278	0.0111	0.0345	0.1326
2028Q2	0.2784	0.0501	0.0568	0.0278	0.0111	0.0345	0.1326
2028Q3	0.2798	0.0504	0.0569	0.0280	0.0112	0.0345	0.1334
2028Q4	0.2798	0.0504	0.0569	0.0280	0.0112	0.0345	0.1334
2029Q1	0.3918	0.0705	0.0710	0.0392	0.0157	0.0397	0.1954
2029Q2	0.3918	0.0705	0.0710	0.0392	0.0157	0.0397	0.1954
2029Q3	0.3918	0.0705	0.0710	0.0392	0.0157	0.0397	0.1954
2029Q4	0.3918	0.0705	0.0710	0.0392	0.0157	0.0397	0.1954
2030Q1	0.5037	0.0907	0.0859	0.0504	0.0201	0.0456	0.2566
2030Q2	0.5037	0.0907	0.0859	0.0504	0.0201	0.0456	0.2566
2030Q3	0.5037	0.0907	0.0859	0.0504	0.0201	0.0456	0.2566
2030Q4	0.5037	0.0907	0.0859	0.0504	0.0201	0.0456	0.2566

Fixed R&D is included in the R&D column. Incremental OP subtracts serving, R&D, sales and marketing, and G&A once. Complete factor paths and timing inputs appear on the preceding page.

APPENDIX B | COMPLETE QUARTERLY REVENUE DERIVATION

Finance legal and professional workflows recognition inputs

USD billions. Outcome probability is 55.0% and the external net-new fraction is 25.0%. Net incremental sales = annual conditional wallet / 4 x probability x external net-new fraction x adoption x expected serving-capacity factor. The capacity factor applies once to opportunity revenue. Subsequent cost percentages apply to that net increment.

Quarter	Annual wallet $B	Adoption	Capacity factor	Net revenue $B
2027Q1	6.153309	0.2500	0.9800	0.051822
2027Q2	6.153309	0.5000	0.9850	0.104174
2027Q3	6.153309	0.7500	0.9900	0.157054
2027Q4	6.153309	1.0000	0.9950	0.210462
2028Q1	7.500000	1.0000	0.9900	0.255234
2028Q2	7.500000	1.0000	0.9900	0.255234
2028Q3	7.500000	1.0000	0.9950	0.256523
2028Q4	7.500000	1.0000	0.9950	0.256523
2029Q1	9.093750	1.0000	0.9950	0.311035
2029Q2	9.093750	1.0000	0.9950	0.311035
2029Q3	9.093750	1.0000	0.9950	0.311035
2029Q4	9.093750	1.0000	0.9950	0.311035
2030Q1	10.968750	1.0000	0.9950	0.375166
2030Q2	10.968750	1.0000	0.9950	0.375166
2030Q3	10.968750	1.0000	0.9950	0.375166
2030Q4	10.968750	1.0000	0.9950	0.375166

Annual fee-wallet factor	2027	2028	2029	2030
AI software budget	656.3530	800.0000	970.0000	1,170.0000
eligible professional-workflow fraction	0.1500	0.1500	0.1500	0.1500
model-service wallet fraction	0.2500	0.2500	0.2500	0.2500
Anthropic conditional capture	0.2500	0.2500	0.2500	0.2500

APPENDIX B | REVENUE, COSTS AND INCREMENTAL OP

Finance legal and professional workflows quarterly bridge

USD billions. Probability-weighted revenue = conditional annual wallet / 4 x probability x external net-new fraction x adoption x serving capacity. Costs include persistent fixed R&D. Values are rounded for display; the linked workbook carries full precision.

Quarter	Revenue	Serving	R&D	S&M	G&A	Fixed R&D	OP
2027Q1	0.0518	0.0104	0.0437	0.0078	0.0031	0.0375	-0.0131
2027Q2	0.1042	0.0208	0.0500	0.0156	0.0063	0.0375	0.0115
2027Q3	0.1571	0.0314	0.0563	0.0236	0.0094	0.0375	0.0363
2027Q4	0.2105	0.0421	0.0628	0.0316	0.0126	0.0375	0.0614
2028Q1	0.2552	0.0510	0.0738	0.0383	0.0153	0.0431	0.0768
2028Q2	0.2552	0.0510	0.0738	0.0383	0.0153	0.0431	0.0768
2028Q3	0.2565	0.0513	0.0739	0.0385	0.0154	0.0431	0.0774
2028Q4	0.2565	0.0513	0.0739	0.0385	0.0154	0.0431	0.0774
2029Q1	0.3110	0.0622	0.0869	0.0467	0.0187	0.0496	0.0966
2029Q2	0.3110	0.0622	0.0869	0.0467	0.0187	0.0496	0.0966
2029Q3	0.3110	0.0622	0.0869	0.0467	0.0187	0.0496	0.0966
2029Q4	0.3110	0.0622	0.0869	0.0467	0.0187	0.0496	0.0966
2030Q1	0.3752	0.0750	0.1021	0.0563	0.0225	0.0570	0.1193
2030Q2	0.3752	0.0750	0.1021	0.0563	0.0225	0.0570	0.1193
2030Q3	0.3752	0.0750	0.1021	0.0563	0.0225	0.0570	0.1193
2030Q4	0.3752	0.0750	0.1021	0.0563	0.0225	0.0570	0.1193

Fixed R&D is included in the R&D column. Incremental OP subtracts serving, R&D, sales and marketing, and G&A once. Complete factor paths and timing inputs appear on the preceding page.

APPENDIX B | COMPLETE QUARTERLY REVENUE DERIVATION

Healthcare and life-science tools recognition inputs

USD billions. Outcome probability is 55.0% and the external net-new fraction is 25.0%. Net incremental sales = annual conditional wallet / 4 x probability x external net-new fraction x adoption x expected serving-capacity factor. The capacity factor applies once to opportunity revenue. Subsequent cost percentages apply to that net increment.

Quarter	Annual wallet $B	Adoption	Capacity factor	Net revenue $B
2027Q1	1.575000	0.1000	0.9800	0.005306
2027Q2	1.575000	0.2500	0.9850	0.013332
2027Q3	1.575000	0.5000	0.9900	0.026800
2027Q4	1.575000	0.7500	0.9950	0.040402
2028Q1	2.205000	1.0000	0.9900	0.075039
2028Q2	2.205000	1.0000	0.9900	0.075039
2028Q3	2.205000	1.0000	0.9950	0.075418
2028Q4	2.205000	1.0000	0.9950	0.075418
2029Q1	2.894063	1.0000	0.9950	0.098986
2029Q2	2.894063	1.0000	0.9950	0.098986
2029Q3	2.894063	1.0000	0.9950	0.098986
2029Q4	2.894063	1.0000	0.9950	0.098986
2030Q1	3.646519	1.0000	0.9950	0.124722
2030Q2	3.646519	1.0000	0.9950	0.124722
2030Q3	3.646519	1.0000	0.9950	0.124722
2030Q4	3.646519	1.0000	0.9950	0.124722

Annual fee-wallet factor	2027	2028	2029	2030
global pharmaceutical spending context	2,100.0000	2,205.0000	2,315.2500	2,431.0125
eligible AI-tool budget fraction	0.0075	0.0100	0.0125	0.0150
model-service wallet fraction	0.4000	0.4000	0.4000	0.4000
Anthropic conditional capture	0.2500	0.2500	0.2500	0.2500

APPENDIX B | REVENUE, COSTS AND INCREMENTAL OP

Healthcare and life-science tools quarterly bridge

USD billions. Probability-weighted revenue = conditional annual wallet / 4 x probability x external net-new fraction x adoption x serving capacity. Costs include persistent fixed R&D. Values are rounded for display; the linked workbook carries full precision.

Quarter	Revenue	Serving	R&D	S&M	G&A	Fixed R&D	OP
2027Q1	0.0053	0.0013	0.0761	0.0008	0.0004	0.0750	-0.0733
2027Q2	0.0133	0.0033	0.0777	0.0020	0.0011	0.0750	-0.0707
2027Q3	0.0268	0.0067	0.0804	0.0040	0.0021	0.0750	-0.0664
2027Q4	0.0404	0.0101	0.0831	0.0061	0.0032	0.0750	-0.0621
2028Q1	0.0750	0.0188	0.1013	0.0113	0.0060	0.0862	-0.0622
2028Q2	0.0750	0.0188	0.1013	0.0113	0.0060	0.0862	-0.0622
2028Q3	0.0754	0.0189	0.1013	0.0113	0.0060	0.0862	-0.0621
2028Q4	0.0754	0.0189	0.1013	0.0113	0.0060	0.0862	-0.0621
2029Q1	0.0990	0.0247	0.1190	0.0148	0.0079	0.0992	-0.0675
2029Q2	0.0990	0.0247	0.1190	0.0148	0.0079	0.0992	-0.0675
2029Q3	0.0990	0.0247	0.1190	0.0148	0.0079	0.0992	-0.0675
2029Q4	0.0990	0.0247	0.1190	0.0148	0.0079	0.0992	-0.0675
2030Q1	0.1247	0.0312	0.1390	0.0187	0.0100	0.1141	-0.0742
2030Q2	0.1247	0.0312	0.1390	0.0187	0.0100	0.1141	-0.0742
2030Q3	0.1247	0.0312	0.1390	0.0187	0.0100	0.1141	-0.0742
2030Q4	0.1247	0.0312	0.1390	0.0187	0.0100	0.1141	-0.0742

Fixed R&D is included in the R&D column. Incremental OP subtracts serving, R&D, sales and marketing, and G&A once. Complete factor paths and timing inputs appear on the preceding page.

APPENDIX B | COMPLETE QUARTERLY REVENUE DERIVATION

New government organizations recognition inputs

USD billions. Outcome probability is 45.0% and the external net-new fraction is 50.0%. Net incremental sales = annual conditional wallet / 4 x probability x external net-new fraction x adoption x expected serving-capacity factor. The capacity factor applies once to opportunity revenue. Subsequent cost percentages apply to that net increment.

Quarter	Annual wallet $B	Adoption	Capacity factor	Net revenue $B
2027Q1	0.600000	0.2500	0.9800	0.008269
2027Q2	0.600000	0.5000	0.9850	0.016622
2027Q3	0.600000	0.7500	0.9900	0.025059
2027Q4	0.600000	1.0000	0.9950	0.033581
2028Q1	1.500000	1.0000	0.9900	0.083531
2028Q2	1.500000	1.0000	0.9900	0.083531
2028Q3	1.500000	1.0000	0.9950	0.083953
2028Q4	1.500000	1.0000	0.9950	0.083953
2029Q1	2.400000	1.0000	0.9950	0.134325
2029Q2	2.400000	1.0000	0.9950	0.134325
2029Q3	2.400000	1.0000	0.9950	0.134325
2029Q4	2.400000	1.0000	0.9950	0.134325
2030Q1	3.600000	1.0000	0.9950	0.201487
2030Q2	3.600000	1.0000	0.9950	0.201487
2030Q3	3.600000	1.0000	0.9950	0.201487
2030Q4	3.600000	1.0000	0.9950	0.201487

Annual fee-wallet factor	2027	2028	2029	2030
genuinely new paying organizations	2,000.0000	5,000.0000	8,000.0000	12,000.0000
annual list spend USD_B per organization	0.0005	0.0005	0.0005	0.0005
after-discount price factor	0.6000	0.6000	0.6000	0.6000

APPENDIX B | REVENUE, COSTS AND INCREMENTAL OP

New government organizations quarterly bridge

USD billions. Probability-weighted revenue = conditional annual wallet / 4 x probability x external net-new fraction x adoption x serving capacity. Costs include persistent fixed R&D. Values are rounded for display; the linked workbook carries full precision.

Quarter	Revenue	Serving	R&D	S&M	G&A	Fixed R&D	OP
2027Q1	0.0083	0.0025	0.0258	0.0017	0.0007	0.0250	-0.0224
2027Q2	0.0166	0.0050	0.0267	0.0033	0.0013	0.0250	-0.0197
2027Q3	0.0251	0.0075	0.0275	0.0050	0.0020	0.0250	-0.0170
2027Q4	0.0336	0.0101	0.0284	0.0067	0.0027	0.0250	-0.0143
2028Q1	0.0835	0.0251	0.0371	0.0167	0.0067	0.0287	-0.0020
2028Q2	0.0835	0.0251	0.0371	0.0167	0.0067	0.0287	-0.0020
2028Q3	0.0840	0.0252	0.0371	0.0168	0.0067	0.0287	-0.0019
2028Q4	0.0840	0.0252	0.0371	0.0168	0.0067	0.0287	-0.0019
2029Q1	0.1343	0.0403	0.0465	0.0269	0.0107	0.0331	0.0099
2029Q2	0.1343	0.0403	0.0465	0.0269	0.0107	0.0331	0.0099
2029Q3	0.1343	0.0403	0.0465	0.0269	0.0107	0.0331	0.0099
2029Q4	0.1343	0.0403	0.0465	0.0269	0.0107	0.0331	0.0099
2030Q1	0.2015	0.0604	0.0582	0.0403	0.0161	0.0380	0.0265
2030Q2	0.2015	0.0604	0.0582	0.0403	0.0161	0.0380	0.0265
2030Q3	0.2015	0.0604	0.0582	0.0403	0.0161	0.0380	0.0265
2030Q4	0.2015	0.0604	0.0582	0.0403	0.0161	0.0380	0.0265

Fixed R&D is included in the R&D column. Incremental OP subtracts serving, R&D, sales and marketing, and G&A once. Complete factor paths and timing inputs appear on the preceding page.

APPENDIX B | COMPLETE QUARTERLY REVENUE DERIVATION

New paid education seats recognition inputs

USD billions. Outcome probability is 50.0% and the external net-new fraction is 25.0%. Net incremental sales = annual conditional wallet / 4 x probability x external net-new fraction x adoption x expected serving-capacity factor. The capacity factor applies once to opportunity revenue. Subsequent cost percentages apply to that net increment.

Quarter	Annual wallet $B	Adoption	Capacity factor	Net revenue $B
2027Q1	0.500000	0.2500	0.9800	0.003828
2027Q2	0.500000	0.5000	0.9850	0.007695
2027Q3	0.500000	0.7500	0.9900	0.011602
2027Q4	0.500000	1.0000	0.9950	0.015547
2028Q1	1.500000	1.0000	0.9900	0.046406
2028Q2	1.500000	1.0000	0.9900	0.046406
2028Q3	1.500000	1.0000	0.9950	0.046641
2028Q4	1.500000	1.0000	0.9950	0.046641
2029Q1	2.850000	1.0000	0.9950	0.088617
2029Q2	2.850000	1.0000	0.9950	0.088617
2029Q3	2.850000	1.0000	0.9950	0.088617
2029Q4	2.850000	1.0000	0.9950	0.088617
2030Q1	4.500000	1.0000	0.9950	0.139922
2030Q2	4.500000	1.0000	0.9950	0.139922
2030Q3	4.500000	1.0000	0.9950	0.139922
2030Q4	4.500000	1.0000	0.9950	0.139922

Annual fee-wallet factor	2027	2028	2029	2030
new conditional paid seats millions	5.0000	15.0000	30.0000	50.0000
annual realized fee USD_thousand	0.1000	0.1000	0.0950	0.0900

APPENDIX B | REVENUE, COSTS AND INCREMENTAL OP

New paid education seats quarterly bridge

USD billions. Probability-weighted revenue = conditional annual wallet / 4 x probability x external net-new fraction x adoption x serving capacity. Costs include persistent fixed R&D. Values are rounded for display; the linked workbook carries full precision.

Quarter	Revenue	Serving	R&D	S&M	G&A	Fixed R&D	OP
2027Q1	0.0038	0.0009	0.0128	0.0004	0.0002	0.0125	-0.0104
2027Q2	0.0077	0.0018	0.0131	0.0008	0.0004	0.0125	-0.0083
2027Q3	0.0116	0.0027	0.0134	0.0012	0.0006	0.0125	-0.0062
2027Q4	0.0155	0.0036	0.0137	0.0016	0.0008	0.0125	-0.0041
2028Q1	0.0464	0.0107	0.0181	0.0046	0.0023	0.0144	0.0107
2028Q2	0.0464	0.0107	0.0181	0.0046	0.0023	0.0144	0.0107
2028Q3	0.0466	0.0107	0.0181	0.0047	0.0023	0.0144	0.0108
2028Q4	0.0466	0.0107	0.0181	0.0047	0.0023	0.0144	0.0108
2029Q1	0.0886	0.0204	0.0236	0.0089	0.0044	0.0165	0.0313
2029Q2	0.0886	0.0204	0.0236	0.0089	0.0044	0.0165	0.0313
2029Q3	0.0886	0.0204	0.0236	0.0089	0.0044	0.0165	0.0313
2029Q4	0.0886	0.0204	0.0236	0.0089	0.0044	0.0165	0.0313
2030Q1	0.1399	0.0322	0.0302	0.0140	0.0070	0.0190	0.0565
2030Q2	0.1399	0.0322	0.0302	0.0140	0.0070	0.0190	0.0565
2030Q3	0.1399	0.0322	0.0302	0.0140	0.0070	0.0190	0.0565
2030Q4	0.1399	0.0322	0.0302	0.0140	0.0070	0.0190	0.0565

Fixed R&D is included in the R&D column. Incremental OP subtracts serving, R&D, sales and marketing, and G&A once. Complete factor paths and timing inputs appear on the preceding page.

APPENDIX B | COMPLETE QUARTERLY REVENUE DERIVATION

Industrial and physical-agent workflows recognition inputs

USD billions. Outcome probability is 25.0% and the external net-new fraction is 25.0%. Net incremental sales = annual conditional wallet / 4 x probability x external net-new fraction x adoption x expected serving-capacity factor. The capacity factor applies once to opportunity revenue. Subsequent cost percentages apply to that net increment.

Quarter	Annual wallet $B	Adoption	Capacity factor	Net revenue $B
2027Q1	0.787624	0.0000	0.9800	0.000000
2027Q2	0.787624	0.0000	0.9850	0.000000
2027Q3	0.787624	0.0000	0.9900	0.000000
2027Q4	0.787624	0.0000	0.9950	0.000000
2028Q1	1.280000	0.2500	0.9900	0.004950
2028Q2	1.280000	0.5000	0.9900	0.009900
2028Q3	1.280000	0.7500	0.9950	0.014925
2028Q4	1.280000	1.0000	0.9950	0.019900
2029Q1	2.182500	1.0000	0.9950	0.033931
2029Q2	2.182500	1.0000	0.9950	0.033931
2029Q3	2.182500	1.0000	0.9950	0.033931
2029Q4	2.182500	1.0000	0.9950	0.033931
2030Q1	2.925000	1.0000	0.9950	0.045475
2030Q2	2.925000	1.0000	0.9950	0.045475
2030Q3	2.925000	1.0000	0.9950	0.045475
2030Q4	2.925000	1.0000	0.9950	0.045475

Annual fee-wallet factor	2027	2028	2029	2030
AI software budget	656.3530	800.0000	970.0000	1,170.0000
eligible industrial-workflow fraction	0.0300	0.0400	0.0450	0.0500
model-service wallet fraction	0.2000	0.2000	0.2000	0.2000
Anthropic conditional capture	0.2000	0.2000	0.2500	0.2500

APPENDIX B | REVENUE, COSTS AND INCREMENTAL OP

Industrial and physical-agent workflows quarterly bridge

USD billions. Probability-weighted revenue = conditional annual wallet / 4 x probability x external net-new fraction x adoption x serving capacity. Costs include persistent fixed R&D. Values are rounded for display; the linked workbook carries full precision.

Quarter	Revenue	Serving	R&D	S&M	G&A	Fixed R&D	OP
2027Q1	0.0000	0.0000	0.0300	0.0000	0.0000	0.0300	-0.0300
2027Q2	0.0000	0.0000	0.0300	0.0000	0.0000	0.0300	-0.0300
2027Q3	0.0000	0.0000	0.0300	0.0000	0.0000	0.0300	-0.0300
2027Q4	0.0000	0.0000	0.0300	0.0000	0.0000	0.0300	-0.0300
2028Q1	0.0050	0.0014	0.0355	0.0009	0.0004	0.0345	-0.0332
2028Q2	0.0099	0.0028	0.0365	0.0018	0.0008	0.0345	-0.0319
2028Q3	0.0149	0.0042	0.0375	0.0027	0.0012	0.0345	-0.0306
2028Q4	0.0199	0.0056	0.0385	0.0036	0.0016	0.0345	-0.0293
2029Q1	0.0339	0.0095	0.0465	0.0061	0.0027	0.0397	-0.0309
2029Q2	0.0339	0.0095	0.0465	0.0061	0.0027	0.0397	-0.0309
2029Q3	0.0339	0.0095	0.0465	0.0061	0.0027	0.0397	-0.0309
2029Q4	0.0339	0.0095	0.0465	0.0061	0.0027	0.0397	-0.0309
2030Q1	0.0455	0.0127	0.0547	0.0082	0.0036	0.0456	-0.0338
2030Q2	0.0455	0.0127	0.0547	0.0082	0.0036	0.0456	-0.0338
2030Q3	0.0455	0.0127	0.0547	0.0082	0.0036	0.0456	-0.0338
2030Q4	0.0455	0.0127	0.0547	0.0082	0.0036	0.0456	-0.0338

Fixed R&D is included in the R&D column. Incremental OP subtracts serving, R&D, sales and marketing, and G&A once. Complete factor paths and timing inputs appear on the preceding page.

APPENDIX B | COMPLETE QUARTERLY REVENUE DERIVATION

Future net marketplace service fees recognition inputs

USD billions. Outcome probability is 25.0% and the external net-new fraction is 50.0%. Net incremental sales = annual conditional wallet / 4 x probability x external net-new fraction x adoption x expected serving-capacity factor. The capacity factor applies once to opportunity revenue. Subsequent cost percentages apply to that net increment.

Quarter	Annual wallet $B	Adoption	Capacity factor	Net revenue $B
2027Q1	0.000000	0.0000	0.9800	0.000000
2027Q2	0.000000	0.0000	0.9850	0.000000
2027Q3	0.000000	0.0000	0.9900	0.000000
2027Q4	0.000000	0.0000	0.9950	0.000000
2028Q1	0.120000	0.0000	0.9900	0.000000
2028Q2	0.120000	0.0000	0.9900	0.000000
2028Q3	0.120000	0.5000	0.9950	0.001866
2028Q4	0.120000	1.0000	0.9950	0.003731
2029Q1	0.320000	1.0000	0.9950	0.009950
2029Q2	0.320000	1.0000	0.9950	0.009950
2029Q3	0.320000	1.0000	0.9950	0.009950
2029Q4	0.320000	1.0000	0.9950	0.009950
2030Q1	0.750000	1.0000	0.9950	0.023320
2030Q2	0.750000	1.0000	0.9950	0.023320
2030Q3	0.750000	1.0000	0.9950	0.023320
2030Q4	0.750000	1.0000	0.9950	0.023320

Annual fee-wallet factor	2027	2028	2029	2030
third-party GMV USD_B	1.5000	4.0000	8.0000	15.0000
hypothetical net owned fee rate	0.0000	0.0300	0.0400	0.0500

APPENDIX B | REVENUE, COSTS AND INCREMENTAL OP

Future net marketplace service fees quarterly bridge

USD billions. Probability-weighted revenue = conditional annual wallet / 4 x probability x external net-new fraction x adoption x serving capacity. Costs include persistent fixed R&D. Values are rounded for display; the linked workbook carries full precision.

Quarter	Revenue	Serving	R&D	S&M	G&A	Fixed R&D	OP
2027Q1	0.0000	0.0000	0.0100	0.0000	0.0000	0.0100	-0.0100
2027Q2	0.0000	0.0000	0.0100	0.0000	0.0000	0.0100	-0.0100
2027Q3	0.0000	0.0000	0.0100	0.0000	0.0000	0.0100	-0.0100
2027Q4	0.0000	0.0000	0.0100	0.0000	0.0000	0.0100	-0.0100
2028Q1	0.0000	0.0000	0.0115	0.0000	0.0000	0.0115	-0.0115
2028Q2	0.0000	0.0000	0.0115	0.0000	0.0000	0.0115	-0.0115
2028Q3	0.0019	0.0001	0.0117	0.0003	0.0001	0.0115	-0.0103
2028Q4	0.0037	0.0002	0.0119	0.0006	0.0002	0.0115	-0.0091
2029Q1	0.0100	0.0005	0.0142	0.0015	0.0005	0.0132	-0.0068
2029Q2	0.0100	0.0005	0.0142	0.0015	0.0005	0.0132	-0.0068
2029Q3	0.0100	0.0005	0.0142	0.0015	0.0005	0.0132	-0.0068
2029Q4	0.0100	0.0005	0.0142	0.0015	0.0005	0.0132	-0.0068
2030Q1	0.0233	0.0012	0.0175	0.0035	0.0012	0.0152	-0.0001
2030Q2	0.0233	0.0012	0.0175	0.0035	0.0012	0.0152	-0.0001
2030Q3	0.0233	0.0012	0.0175	0.0035	0.0012	0.0152	-0.0001
2030Q4	0.0233	0.0012	0.0175	0.0035	0.0012	0.0152	-0.0001

Fixed R&D is included in the R&D column. Incremental OP subtracts serving, R&D, sales and marketing, and G&A once. Complete factor paths and timing inputs appear on the preceding page.

APPENDIX C | RULE 16B DISPOSITIONS

Probability, ownership and zero-contribution decisions

Signal / option	Probability / timing	Economic treatment
Marketed drug royalties	0.2; 2032	Clinical approval and owned royalty economics are later than this forecast window; paid research/platform work is in LIFE_SCIENCE.
Additional cyber-catastrophe revenue multiplier	0.65	Documented threat evidence supports the same CYBERpaid-defense outcome already modeled. Household all-hazard preparedness supplies no additional buyer fee wallet.
PublicBenefitFund milestone share issuance	0.5	Whole-company equityP/S includes all economic holders. Share transfers affect ownership; IPOshareprice,finalcount and future90/120-day triggers are undisclosed.
Optional new supplier cash/equity and revolving facilities		Each facility use equals available capacity capped by positive funding need; baseline need is zero. Capacity is retained as conditional support in funding stresses.

Conditional financing capacities

Provider / facility	Capacity USD B	Draw realization probability
Google	20	60%
Amazon	15	65%
AMD	5	75%
Revolver	15	75%

Each conditional cash use is capped by a positive funding need. Central expected funding need is zero. Contractual draw conditions, supplier dependencies and equity / conversion terms affect realization and eventual ownership.

Residual opportunity states use independent Bernoulli outcomes after core and cross-market economic overlap. Positive-profit tax is calculated before averaging. Common-risk co-movement and market-probability sensitivities accompany the central forecast. Sales under fixed equity P/S are linear; financing, compute floors and cash tax can respond nonlinearly.

APPENDIX D | FEASIBILITY AND VALUATION

Financial sensitivities

Selected diagnostic	Active F4 sales $B	Equity MC $B	Min cash $B	Funding need $B
No opening lease-overlap allocation	198.51	1,985.09	92.13	0.00
Core paid-use growth70pct	139.46	1,394.58	-29.92	34.92
Core paid-use growth130pct	278.04	2,780.39	111.95	0.00
Cyber probability0	197.32	1,973.18	91.93	0.00
Cyber probability100pct	199.15	1,991.50	92.43	0.00
All new-market probabilities0	194.58	1,945.83	91.27	0.00
Compute service floors+25pct	198.51	1,985.09	67.86	0.00
Lease interest12pct	198.51	1,985.09	86.86	0.00
No cashless NPA finance	198.51	1,985.09	90.12	0.00
RSU settlement-value proxy4x	198.51	1,985.09	85.08	0.00
Higher future match cash election100pct	198.51	1,985.09	91.97	0.00
Delayed IPO allQ227	198.51	1,985.09	91.89	0.00
Combined slower paid growth50pct, compute floors+25pct, RSUtaxvalue4x, full10Brestriction	109.17	1,091.71	-262.96	267.96

Each row changes the named assumption set while retaining the remaining central selections. Market cap uses the active horizon's selected 10x equity P/S. The combined stress changes four related operating / cash inputs simultaneously. These diagnostics define source and modeling uncertainty specifically.

APPENDIX D | FIXED-PROBABILITY SENSITIVITY

Dependence between outcomes

The central model uses residual independence after economic overlap adjustments. This sensitivity keeps every individual event probability unchanged and changes how core adverse events and market successes occur together. An independent calculation reproduces 180 central quarterly metrics to an absolute error below 0.000000000001 USD billion.

Dependence construction	Equity MC USD B	Minimum expected cash USD B	2028 cash tax USD B
Independent central model	1,985.088241	92.256286	1.776042
Core adverse events share one shock	1,985.088241	92.253741	1.783814
Market successes share one shock	1,985.088241	92.256245	1.779371
Core adversity and market failures align	1,985.393247	92.262449	1.808542
Core adversity and market successes align	1,984.859841	92.247769	1.768309

Core-only dependence applies one uniform shock to the policy, capacity and release events while the market events remain independent. Market-only dependence applies one uniform shock to market success while the core events remain independent. The two joint cases align the same uniform draw with either core adversity and market failure, or core adversity and market success. Financing and IPO timing retain the selected branch probabilities.

Compute floors and positive-profit cash tax are evaluated before averaging in each construction. Joint cases also change expected served opportunity revenue because available capacity and market success jointly determine billable usage. The active equity value moves by less than 0.02% from the central selection. Core-only and market-only dependence preserve expected sales and value while changing expected cash tax slightly.

The lowest expected quarterly liquidity across these dependence cases is $92.247769 billion, and the expected funding need to the $5 billion planning floor remains zero. These calculations describe quarterly expectations under finite dependence constructions. Real-world correlation estimates, worst-case dependence and pathwise covenant / funding probabilities require additional information. The broader demand and cost stresses on the preceding page produce much larger financing risks.

Sources: Independent finite-state sensitivity using the same source-calibrated inputs and selected event probabilities as the central financial model. Values are analytical calculations.

APPENDIX E | READABLE EVIDENCE TRAIL

Primary and supporting source register

S1-BIZ | Anthropic S-1: business, products, technology and competition

Source date / read date: 2026-10-26

https://www.sec.gov/Archives/edgar/data/2130357/000162828026067168/anthropicpbc-sx1.htm

Saved readable-source locations: [[14673, 18352]]

S1-COHORTS | S-1 customer metrics, definitions and pricing

https://www.sec.gov/Archives/edgar/data/2130357/000162828026067168/anthropicpbc-sx1.htm

Saved readable-source locations: [[362, 512], [14818, 14915], [15977, 16027], [16922, 16950]]

S1-ACCOUNTING | S-1 Note2 revenue recognition/principal-agent accounting

https://www.sec.gov/Archives/edgar/data/2130357/000162828026067168/anthropicpbc-sx1.htm

Note2,F-21-F-22; financial source-review factpack controls exact accounting scope

S1-COMPUTE | S-1 compute strategy and procurement timing

https://www.sec.gov/Archives/edgar/data/2130357/000162828026067168/anthropicpbc-sx1.htm

Saved readable-source locations: [[632, 635], [11330, 11364], [11464, 11468], [15420, 15470], [16764, 16907]]

S1-TSMC | S-1 advanced chip manufacturing concentration

https://www.sec.gov/Archives/edgar/data/2130357/000162828026067168/anthropicpbc-sx1.htm

Saved readable-source locations: [[2494, 2513]]

S1-GOVERNANCE | S-1 public-benefit governance and control

https://www.sec.gov/Archives/edgar/data/2130357/000162828026067168/anthropicpbc-sx1.htm

Saved readable-source locations: [[18353, 19130]]

S1-REGULATION | S-1 safety, regulation and government litigation

https://www.sec.gov/Archives/edgar/data/2130357/000162828026067168/anthropicpbc-sx1.htm

Saved readable-source locations: [[17354, 17643], [17963, 18346], [29962, 29996]]

SECURITY-TERMS | Current Claude Security usage/billing terms

Source date / read date: Read2026-10-27

https://support.claude.com/en/articles/14661296-use-claude-security

SECURITY-PRODUCT | Claude Security product

Source date / read date: Read2026-10-27

https://claude.com/product/claude-security

SECURITY-BETA | Claude Security public beta

Source date / read date: 2026-04-30

https://claude.com/resources/articles/claude-security-public-beta

CYBER-MISSION | Critical Infrastructure Defense Program

Source date / read date: 2026-10-08

https://www.anthropic.com/news/anthropic-cyber-mission

GLASSWING | Project Glasswing

Source date / read date: 2026-04-07

https://www.anthropic.com/glasswing

FALCON | CrowdStrike Falcon and Claude Marketplace

Source date / read date: 2026-09-02

https://www.crowdstrike.com/en-us/press-releases/crowdstrike-brings-falcon-platform-to-anthropic-claude-marketplace/

MISUSE | Anthropic cyber-misuse and evaluation incident reviews

https://www.anthropic.com/research/alignment-assessment-cybersecurity-incidents

CANADA-PREPAREDNESS | Public Safety Canada emergency-kit guidance

https://www.canada.ca/en/services/policing/emergencies/preparedness/get-prepared/emergency-kits/get-kit.html

DRUG-OCT27 | Early progress on accelerating drug development with Claude

Source date / read date: 2026-10-27

https://www.anthropic.com/research/early-progress-drug-development

Saved readable-source locations: [[25, 60]]

GSA-OCT27 | Expanded GSA partnership

Source date / read date: 2026-10-27

https://www.anthropic.com/news/expanding-partnership-gsa

Saved readable-source locations: [[20, 42]]

SERIES-H | SeriesH issuer announcement

Source date / read date: 2026-05-28

https://www.anthropic.com/news/series-h

Saved readable-source locations: [[36, 44]]

GARTNER-SOFTWARE | Gartner October21 IT spending forecast

Source date / read date: 2026-10-21

https://www.gartner.com/en/newsroom/press-releases/2026-10-21-gartner-forecasts-worldwide-it-spending-to-grow-15-percent-in-2027-totaling-7-point-35-trillion

GARTNER-AI | Gartner AI spending categories

Source date / read date: 2026-09-16

https://www.gartner.com/en/newsroom/press-releases/2026-09-16-gartner-forecasts-worldwide-ai-spending-to-grow-49-point-5-percent-in-2026

IDC-SECURITY | IDC security spending forecast

Source date / read date: 2026-03-03

https://www.idc.com/resource-center/press-releases/wwsecuritysg/

Financial and management sources

SEC S-1 financial statements, notes and exhibits

https://www.sec.gov/Archives/edgar/data/2130357/000162828026067168/anthropicpbc-sx1.htm

Primary financing reference

https://www.anthropic.com/news/series-h

Builders complete publisher transcript; recorded July 6, released October 27

https://api.omny.fm/orgs/e73c998e-6e60-432f-8610-ae210140c5b1/clips/553e0f82-e73e-4896-abd2-b4ef0130aa30/transcript?format=TextWithTimestamps&t=1793039863

Builders publisher episode

https://omny.fm/shows/the-builders/dario-and-daniela-amodei-this-is-gonna-determine-the-fate-of-nations-and-the-future-of-humanity

ThinkHealth host-edited transcript; event October 16, release October 22

https://thriveglobal.com/articles/lets-stop-placing-all-our-bets-on-the-machines-my-conversation-with-daniela-amodei

Amazon financing

https://www.sec.gov/Archives/edgar/data/2130357/000162828026067168/exhibit43-sx1.htm

Broadcom note purchase agreement

https://www.sec.gov/Archives/edgar/data/2130357/000162828026067168/exhibit44-sx1.htm

Google financing

https://www.sec.gov/Archives/edgar/data/2130357/000162828026067168/exhibit45-sx1.htm

Revolving credit

https://www.sec.gov/Archives/edgar/data/2130357/000162828026067168/exhibit1010-sx1.htm

Broadcom master equipment lease

https://www.sec.gov/Archives/edgar/data/2130357/000162828026067168/exhibit1011-sx1.htm

The linked financial workbook carries the quarterly inputs, operating build, capital / cash ledgers and complete forward-sales valuation windows used in this report.